

**Muscatine Community School District**  
**Muscatine, Iowa**

Financial Report  
Year Ended June 30, 2015



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## Muscatine Community School District

### Officials

Year Ended June 30, 2015

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| Name                      | Title               | Term Expires |
|---------------------------|---------------------|--------------|
| <b>Board of Education</b> |                     |              |
| Tammi Drawbaugh           | Board Member        | 2017         |
| Timothy Bower             | Board Member        | 2017         |
| John DaBeet               | Board Member        | 2019         |
| Aaron Finn                | Board Member        | 2019         |
| Nathan Mather             | Board Member        | 2019         |
| Randy Naber               | Board Member        | 2017         |
| Mary Wildermuth           | Board Member        | 2019         |
| <b>School Officials</b>   |                     |              |
| Jerry Riibe               | Superintendent      | 2016         |
| Jean K. Garner            | Director of Finance | 2016         |
| Lisa Mosier Bunn          | District Secretary  | 2016         |
| Ahlers & Cooney, P.C.     | Attorney            | Indefinite   |

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## **Independent Auditor's Report**

To the Board of Education  
Muscatine Community School District  
Muscatine, Iowa

### **Report on the Financial Statements**

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Muscatine Community School District, as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

### ***Management's Responsibility for the Financial Statements***

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

### ***Auditor's Responsibility***

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

## ***Opinions***

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Muscatine Community School District, as of June 30, 2015, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

## ***Emphasis of Matter***

As discussed in Note 14 to the basic financial statements, the District implemented Governmental Accounting Standards Board Statement No. 68, *Accounting and Financial Reporting for Pensions* and Governmental Accounting Standards Board Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date-an amendment of GASB Statement No. 68*. As a result, the District's net position for governmental activities and business-type activities has been restated. Our opinions are not modified with respect to this matter.

## ***Other Matters***

### ***Required Supplementary Information***

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, schedules of funding progress, budgetary comparison information, schedules of proportionate share of the net pension liability, and schedules of contributions on pages 4–15 and 50-57 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

### ***Other Information***

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The other supplementary information as listed in the table of contents and schedule of expenditures of federal awards, as required by Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations* are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The other supplementary information as listed in the table of contents and schedule of expenditures of federal awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information



directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The District's basic financial statements for the years ended June 30, 2006 through 2014, which are not presented herein, were audited by other auditors whose report thereon dated March 2, 2015, expressed unmodified opinions on the basic financial statements. Their report on the Schedule of Revenues by Source and Expenditures by Function for the years ended June 30, 2006 through 2014 stated that, in their opinion, such information was fairly stated in all material respects in relation to the basic financial statements as a whole for the years ended June 30, 2006 through 2014 taken as a whole.

**Other Reporting Required by *Government Auditing Standards***

In accordance with *Government Auditing Standards*, we have also issued our report dated January 14, 2016 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

*Bohnsack & Frommelt LLP*

Taylor Ridge, Illinois  
January 14, 2016

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## **Muscatine Community School District**

### **Management's Discussion and Analysis Year Ended June 30, 2015**

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Muscatine Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2015. We encourage readers to consider this information in conjunction with the District's financial statements, which follow:

#### **2014-15 FINANCIAL HIGHLIGHTS**

The District showed an increase in net position of \$7,521,992 and \$2,211,528 during the years ended June 30, 2015 and 2014, respectively.

Total revenues for the fiscal year ended June 30, 2015 and 2014 of \$68,342,664 and \$64,453,205 were comprised of general revenues in the amount of \$51,772,534 and \$53,094,504 and program revenues totaling \$16,570,130 and \$11,358,701, respectively.

As of June 30, 2015, the District's governmental funds reported combined fund balances of \$12,446,978, a decrease of \$1,173,350 in comparison to 2014. As of June 30, 2014, the District's governmental funds reported combined fund balances of \$13,620,328, an increase of \$442,700 in comparison to 2013.

The District's total long-term debt decreased by \$607,138 during fiscal year ended June 30, 2015.

#### **USING THIS ANNUAL REPORT**

The annual report consists of a series of financial statements and other information, as follows:

- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Muscatine Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short-term as well as what remains for future spending. Fund financial statements report Muscatine Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Muscatine Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year.
- Other supplementary information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various programs benefitting the District.

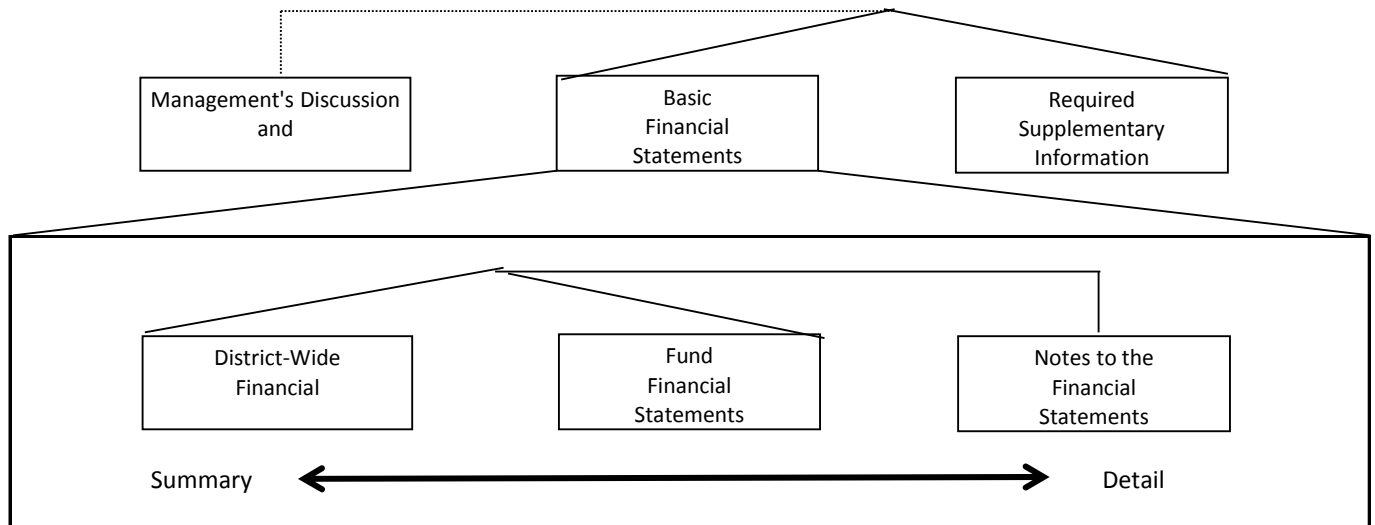
**Muscatine Community School District**

**Management's Discussion and Analysis  
Year Ended June 30, 2015**

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Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1  
Muscatine Community School District Annual Financial Report



## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2015

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

| <b>Figure A-2<br/>Major Features of the Government-Wide and Fund Financial Statements</b> |                                                                                        |                                                                                                                                                                                                          |                                                                                                                             |                                                                                                                                                                                      |
|-------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Government-Wide Statements                                                                |                                                                                        | Fund Statements                                                                                                                                                                                          |                                                                                                                             |                                                                                                                                                                                      |
|                                                                                           |                                                                                        | Governmental Funds                                                                                                                                                                                       | Proprietary Funds                                                                                                           | Fiduciary Funds                                                                                                                                                                      |
| Scope                                                                                     | Entire District (except fiduciary funds)                                               | The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance                                                                                 | Activities the District operates similar to private businesses: school nutrition and internal service fund                  | Instances in which the District administers resources on behalf of someone else, such as scholarship programs, reunion moneys and funds for District employee purchases of pop, etc. |
| Required financial statements                                                             | Statement of net position<br><br>Statement of activities                               | Balance sheet<br><br>Statement of revenues, expenditures and changes in fund balances                                                                                                                    | Statement of net position<br><br>Statement of revenues, expenses and changes in net position<br><br>Statement of cash flows | Statement of fiduciary net position<br><br>Statement of changes in fiduciary net position                                                                                            |
| Accounting basis and measurement focus                                                    | Accrual accounting and economic resources focus                                        | Modified accrual accounting and current financial resources focus                                                                                                                                        | Accrual accounting and economic resources focus                                                                             | Accrual accounting and economic resources focus                                                                                                                                      |
| Type of asset/liability information                                                       | All assets and liabilities, both financial and capital, short-term and long-term       | Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included                                            | All assets and liabilities, both financial and capital, and short-term and long-term                                        | All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can                                                          |
| Type of inflow/outflow information                                                        | All revenues and expenses during the year, regardless of when cash is received or paid | Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter | All revenues and expenses during the year, regardless of when cash is received or paid                                      | All additions and deductions during the year, regardless of when cash is received or paid                                                                                            |

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2015

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#### REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

##### Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, and liabilities and deferred inflows of resources. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows and liabilities and deferred inflows – are one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position are an indicator of whether financial position is improving or deteriorating, respectively. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into three categories:

**Governmental activities:** Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property taxes and state aid finance most of these activities.

**Business-type activities:** The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program is included here.

**Component unit:** This includes the activities of the Muscatine Community School Foundation. The Foundation is a legally separate entity; however, the District appoints the Board of Directors and receives significant financial benefits from the Foundation.

##### Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

1. **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2015

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future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information at the bottom of the governmental funds statements explains the relationship (or differences) between the two statements. The District's major governmental funds for 2014-15 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include three Special Revenue Funds (the Management Fund, Student Activities Fund, and Support Trust Fund) and the Debt Service Fund. The required financial statements for governmental funds include a balance sheet and a statement of revenues, expenditures and changes in fund balances.

2. **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Fund, one type of proprietary fund, is the same as its business-type activities but provides more detail and additional information, such as cash flows. The District currently has one Enterprise Fund, the School Nutrition Fund.

The required financial statements for proprietary funds include a statement of net position, a statement of revenues, expenses and changes in net position and a statement of cash flows.

3. **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes Private-Purpose Trust Fund and Agency Fund.

Private-Purpose Trust Fund: The District accounts for outside donations for scholarships for individual students in this fund.

Agency Fund: These are funds for which the District accounts for certain revenue collected for District employee purchases of pop, funeral flowers, etc. and related expenditures and for revenues and expenditures of other various club accounts.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds of the District include a statement of fiduciary net position, a statement of changes in fiduciary net position, and, for agency funds, statement of fiduciary assets and liabilities.

Reconciliations between the government-wide financial statements and the fund financial statements follow the fund financial statements.

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2015

#### Government-Wide Financial Analysis

Figure A-3 below provides a summary of the District's net position as of June 30, 2015 compared to June 30, 2014.

Figure A-3 Condensed Statement of Net Position

|                                     | Governmental Activities |                      | Business-Type Activities |                     | Total School District |                      |
|-------------------------------------|-------------------------|----------------------|--------------------------|---------------------|-----------------------|----------------------|
|                                     | June 30, 2015           | June 30, 2014        | June 30, 2015            | June 30, 2014       | June 30, 2015         | June 30, 2014        |
|                                     |                         | (Restated)           |                          | (Restated)          |                       | (Restated)           |
| Current and other assets            | \$ 39,204,462           | \$ 38,757,338        | \$ 371,129               | \$ 402,677          | \$ 39,575,591         | \$ 39,160,015        |
| Capital assets                      | 46,923,807              | 40,099,710           | 205,788                  | 234,401             | 47,129,595            | 40,334,111           |
| <b>Total assets</b>                 | <b>86,128,269</b>       | <b>78,857,048</b>    | <b>576,917</b>           | <b>637,078</b>      | <b>86,705,186</b>     | <b>79,494,126</b>    |
| Deferred outflows<br>of resources   | 3,997,013               | 2,850,333            | 129,872                  | 92,615              | 4,126,885             | 2,942,948            |
| Long-term liabilities               | 22,865,512              | 30,758,552           | 676,353                  | 916,713             | 23,541,865            | 31,675,265           |
| Other liabilities                   | 7,324,424               | 6,412,573            | 148,368                  | 222,119             | 7,472,792             | 6,634,692            |
| <b>Total liabilities</b>            | <b>30,189,936</b>       | <b>37,171,125</b>    | <b>824,721</b>           | <b>1,138,832</b>    | <b>31,014,657</b>     | <b>38,309,957</b>    |
| Deferred inflows<br>of resources    | 26,397,276              | 18,473,203           | 244,232                  | -                   | 26,641,508            | 18,473,203           |
| Net position:                       |                         |                      |                          |                     |                       |                      |
| Net investment in<br>capital assets | 46,923,807              | 40,099,710           | 205,788                  | 234,401             | 47,129,595            | 40,334,111           |
| Restricted                          | 4,936,794               | 8,481,871            | -                        | -                   | 4,936,794             | 8,481,871            |
| Unrestricted                        | (18,322,531)            | (22,518,528)         | (567,952)                | (643,540)           | (18,890,483)          | (23,162,068)         |
| <b>Total net position</b>           | <b>\$ 33,538,070</b>    | <b>\$ 26,063,053</b> | <b>\$ (362,164)</b>      | <b>\$ (409,139)</b> | <b>\$ 33,175,906</b>  | <b>\$ 25,653,914</b> |

The District's combined net position as of June 30, 2015 grew by \$7,521,992 (29.3%) over the June 30, 2014 combined net position. Net position in the governmental activities grew by \$7,475,017 (28.6%). The net position of the District's business-type activities increased by \$46,975 (12.9%).

The most significant factors for the increase in net position of the District were the additions of capital assets for various projects including the Jefferson Elementary School and the improved performance of the investments of the District's pension system. The District implemented new accounting standards during fiscal year 2015, Governmental Accounting Standard Board Statement No. 68, *Accounting and Financial Reporting for Pensions* and Standard No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date-an amendment of GASB Statement No. 68*. As a result, the District's net position for governmental activities and business-type activities has been restated by (\$24,382,178) and (\$792,238). The District also restated governmental activities net position by (\$2,285,621) to record the early retirement liability.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased by \$3,545,077 (41.7%) primarily due to the use of resources restricted for school infrastructure to purchase and construct capital projects.



## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2015

Unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) increased by \$4,271,585 (18.4%).

Figure A-4 shows the changes in net position for the year ended June 30, 2015 compared to the year ended June 30, 2014.

**Figure A-4 Changes in Net Position From Operating Results**

|                                            | Governmental Activities |                     | Business-Type Activities |                    | Total School District |                     |
|--------------------------------------------|-------------------------|---------------------|--------------------------|--------------------|-----------------------|---------------------|
|                                            | June 30, 2015           | June 30, 2014       | June 30, 2015            | June 30, 2014      | June 30, 2015         | June 30, 2014       |
|                                            | (Not Restated)          |                     | (Not Restated)           |                    | (Not Restated)        |                     |
| <b>Revenues:</b>                           |                         |                     |                          |                    |                       |                     |
| Program revenues:                          |                         |                     |                          |                    |                       |                     |
| Charges for services                       | \$ 1,816,146            | \$ 1,420,769        | \$ 894,309               | \$ 893,814         | \$ 2,710,455          | \$ 2,314,583        |
| Operating grants and contributions         | 12,002,620              | 7,087,035           | 1,857,055                | 1,947,083          | 13,859,675            | 9,034,118           |
| Capital grants and contributions           | -                       | 10,000              | -                        | -                  | -                     | 10,000              |
| General revenues:                          |                         |                     |                          |                    |                       |                     |
| Property taxes                             | 18,357,721              | 18,320,746          | -                        | -                  | 18,357,721            | 18,320,746          |
| Income surtax                              | 304,655                 | 252,332             | -                        | -                  | 304,655               | 252,332             |
| State foundation aid                       | 27,744,373              | 29,582,851          | -                        | -                  | 27,744,373            | 29,582,851          |
| Statewide sales and services tax           | 5,333,846               | 4,650,907           | -                        | -                  | 5,333,846             | 4,650,907           |
| Other                                      | 31,848                  | 280,216             | 91                       | 7,452              | 31,939                | 287,668             |
| <b>Total revenues</b>                      | <b>65,591,209</b>       | <b>61,604,856</b>   | <b>2,751,455</b>         | <b>2,848,349</b>   | <b>68,342,664</b>     | <b>64,453,205</b>   |
| <b>Expenses:</b>                           |                         |                     |                          |                    |                       |                     |
| Instruction                                | 36,976,995              | 36,912,548          | -                        | -                  | 36,976,995            | 36,912,548          |
| Support services                           | 16,512,060              | 17,775,941          | 54,450                   | 56,269             | 16,566,510            | 17,832,210          |
| Noninstructional                           | 42,635                  | -                   | 2,650,030                | 3,085,416          | 2,692,665             | 3,085,416           |
| Other                                      | 4,584,502               | 4,411,503           | -                        | -                  | 4,584,502             | 4,411,503           |
| <b>Total expenses</b>                      | <b>58,116,192</b>       | <b>59,099,992</b>   | <b>2,704,480</b>         | <b>3,141,685</b>   | <b>60,820,672</b>     | <b>62,241,677</b>   |
| Change in net position before transfers    | 7,475,017               | 2,504,864           | 46,975                   | (293,336)          | 7,521,992             | 2,211,528           |
| Transfers                                  | -                       | (256,400)           | -                        | 256,400            | -                     | -                   |
| <b>Increase (decrease) in net position</b> | <b>\$ 7,475,017</b>     | <b>\$ 2,248,464</b> | <b>\$ 46,975</b>         | <b>\$ (36,936)</b> | <b>\$ 7,521,992</b>   | <b>\$ 2,211,528</b> |

In 2014-15, property taxes, income surtax, state foundation aid, and statewide sales and services tax accounted for 78.8% of the revenue from governmental activities while charges for services and grants and contributions accounted for 99.9% of the revenue from business-type activities.

The District's expenses primarily relate to instructional and support services which account for 88.0% of the total expenses.

Total revenue for the District increased by \$3,889,459 (6.0%) in the fiscal year ended June 30, 2015. The most significant revenue category changes were due to an increase in statewide sales and services tax and operating grants and contributions. Statewide sales and service tax increased by \$682,939 (14.6%) primarily due to increased sales tax collections by the state which are allocated to Districts based on enrollment. Operating grants and contributions increased \$4,825,557 (53.4%) due to \$1,650,458 from the state for the Teacher Leadership Compensation system and \$3,175,099 in state categorical funding restricted for particular purposes.

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2015

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Total District expenses decreased by \$1,421,005 (2.2%), which was mainly attributable to the changes in the net pension liability as a result of improved investment performance.

#### Governmental Activities

Revenue for the District's governmental activities in 2014-15 increased by \$3,986,353 (6.4%) from the previous year, while total expenses decreased by (\$983,800) (-1.6%). Governmental activities net position as of June 30, 2015 increased by \$7,475,017 (28.6%) over the June 30, 2014 balance.

The table below presents the total and net cost of the District's four major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2015 compared to the year ended June 30, 2014.

|                  | Total Cost of Services |                      | Net Cost of Services |                      |
|------------------|------------------------|----------------------|----------------------|----------------------|
|                  | June 30, 2015          | June 30, 2014        | June 30, 2015        | June 30, 2014        |
| Instruction      | \$ 36,976,995          | \$ 36,912,548        | \$ 26,173,860        | \$ 30,703,991        |
| Support services | 16,512,060             | 17,775,941           | 15,704,234           | 17,566,814           |
| Noninstructional | 42,635                 | -                    | 42,635               | -                    |
| Other            | 4,584,502              | 4,411,503            | 2,376,697            | 2,311,383            |
| <b>Total</b>     | <b>\$ 58,116,192</b>   | <b>\$ 59,099,992</b> | <b>\$ 44,297,426</b> | <b>\$ 50,582,188</b> |

For the year ended June 30, 2015:

- The cost financed by the users of the District's programs was \$1,816,146.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$12,002,620.
- The net cost of governmental activities was financed with \$18,662,376 in property taxes and income surtax, \$27,744,373 of unrestricted state grants, \$5,333,846 in statewide sales and services tax revenue, and \$31,848 in other revenues.

For the year ended June 30, 2014:

- The cost financed by the users of the District's programs was \$1,420,769.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$7,097,035.
- The net cost of governmental activities was financed with \$18,573,078 in property taxes and income surtax, \$29,582,851 of unrestricted state grants, \$4,650,907 in statewide sales and services tax revenue, and \$280,216 in other revenues.

## **Muscatine Community School District**

### **Management's Discussion and Analysis Year Ended June 30, 2015**

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#### **Business-Type Activities**

The District's business-type activities include the School Nutrition Fund. Revenues of the District's business-type activities in 2014-15 were \$2,751,455; a decrease of (\$96,894) (-3.4%) from 2013-14. The decrease is primarily due to a decrease in meals claims for state and federal reimbursement of the child nutrition program. Expenses were \$2,704,480; a decrease of (\$437,205) (-13.9%) from 2013-14 primarily due to significant reductions in staff in the current year.

#### **Individual Fund Analysis**

As previously noted, the Muscatine Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$12,446,978, which reflects a decrease of (\$1,173,350) from last year's ending fund balances of \$13,620,328. The primary reason for the decrease in combined fund balances at the end of the 2014-15 fiscal year is due to approximately \$10,000,000 in capital expenditures for various construction projects.

#### **Governmental Fund Highlights**

- The fund balance in the District's General Fund increased by \$3,165,084 from \$6,284,303 as of June 30, 2014 to \$9,449,387 as of June 30, 2015. The General Fund experienced an increase in state sources of revenue primarily due to categorical programs.
- The fund balance in the Capital Projects Fund decreased by (\$4,267,238). The statewide sales, service and use tax generated \$416,247 more in revenue in 2014-15 than in the previous fiscal year. Local tax generated from the physical plant and equipment levy was \$1,489,958 compared to the prior year \$1,500,948 which represents a (\$10,990) decrease from 2013-14. Total capital projects expenditures were \$10,272,277 in 2014-15 compared to \$5,779,199 in 2013-14. In the current year, major expenditures included facility improvements to Jefferson Elementary School.
- The fund balance in the Student Activities Fund increased by \$1,250 during the fiscal year due to the variance of student activities from year-to-year.
- The fund balance in the Management Fund decreased by (\$64,676) during 2014-15.
- The fund balance in the Support Trust Fund decreased (\$7,770) during 2014-15.
- The District had a Debt Service Fund in the current year to account for payment of principal and interest of \$617,967 on computer leases.

## **Muscatine Community School District**

### **Management's Discussion and Analysis Year Ended June 30, 2015**

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#### **Proprietary Fund Highlights**

The net position of the Nutrition Fund increased by \$46,975 (11.4%) during 2014-15 primarily due to reductions in staff operating costs.

#### **Budgetary Highlights**

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except private-purpose trust funds and agency funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes. The District did not amend the budget during the fiscal year.

Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. It should also be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all funds of the District as noted above. This budget is certified with the County Auditor and the Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority. The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent balance is a budgetary concept and does not mean the actual General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (unreserved, undesignated General Fund balance) of the District.

Total revenues were \$1,291,233 more than budgeted, a variance of 1.8%. Total expenditures were \$1,227,325 less than budgeted, a variance of 1.7%. While total expenditures were less than budgeted, the District exceeded budget expenditures in the support services function and other expenditures function due to the timing of expenditures at year-end without sufficient time to amend the certified budget.

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2015

## Capital Asset and Debt Administration

### Capital Assets

By the end of the 2014-15 fiscal year, the District had invested \$47,129,595 (net of accumulated depreciation of \$38,640,934) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. This amount represents a net increase of \$6,795,484 or 16.8% from last year. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was \$3,202,282.

#### Capital Assets (Net of Depreciation)

|                                   | Governmental Activities |                      | Business-Type Activities |                   | Total School District |                      |
|-----------------------------------|-------------------------|----------------------|--------------------------|-------------------|-----------------------|----------------------|
|                                   | June 30, 2015           | June 30, 2014        | June 30, 2015            | June 30, 2014     | June 30, 2015         | June 30, 2014        |
| Land                              | \$ 1,515,234            | \$ 1,406,537         | \$ -                     | \$ -              | \$ 1,515,234          | \$ 1,406,537         |
| Construction in progress          | 11,173,997              | 1,879,868            | -                        | -                 | 11,173,997            | 1,879,868            |
| Buildings                         | 31,154,907              | 33,373,330           | -                        | -                 | 31,154,907            | 33,373,330           |
| Improvements other than buildings | 1,335,647               | 1,419,898            | -                        | -                 | 1,335,647             | 1,419,898            |
| Furniture and equipment           | 1,744,022               | 2,020,077            | 205,788                  | 234,401           | 1,949,810             | 2,254,478            |
| <b>Total</b>                      | <b>\$ 46,923,807</b>    | <b>\$ 40,099,710</b> | <b>\$ 205,788</b>        | <b>\$ 234,401</b> | <b>\$ 47,129,595</b>  | <b>\$ 40,334,111</b> |

### Long-Term Liabilities

As of June 30, 2015, the District had the following long-term liabilities:

|                       | Governmental Activities |                      | Business-Type Activities |                   | Total School District |                      |
|-----------------------|-------------------------|----------------------|--------------------------|-------------------|-----------------------|----------------------|
|                       | June 30, 2015           | June 30, 2014        | June 30, 2015            | June 30, 2014     | June 30, 2015         | June 30, 2014        |
| Computer leases       | \$ -                    | \$ 607,138           | \$ -                     | \$ -              | \$ -                  | \$ 607,138           |
| Early retirement      | 2,572,720               | 2,285,621            | -                        | -                 | 2,572,720             | 2,285,621            |
| Net OPEB liability    | 947,654                 | 633,282              | 47,780                   | 31,860            | 995,434               | 665,142              |
| Net pension liability | 19,345,138              | 27,232,511           | 628,573                  | 884,853           | 19,973,711            | 28,117,364           |
| <b>Total</b>          | <b>\$ 22,865,512</b>    | <b>\$ 30,758,552</b> | <b>\$ 676,353</b>        | <b>\$ 916,713</b> | <b>\$ 23,541,865</b>  | <b>\$ 31,675,265</b> |

More information regarding the District's long-term liabilities is provided in Note 5 to the financial statements.

## **Muscatine Community School District**

### **Management's Discussion and Analysis Year Ended June 30, 2015**

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#### **ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE**

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District has no General obligation bonded indebtedness.
- The District experienced a significant decline in student enrollment on the October 1, 2015 certified enrollment. The total school age students provided instructional programs/services by our district is down 195.26 students and the weighted enrollment that is used to calculate budget authority is down 158.46 students. Since one of the major factors in determining the district's budget authority or ability to spend is enrollment, this decline will have a major impact on future budgets, staffing, and facility needs.
- Although we do not know the full impact the still depressed but somewhat rebounding national and local economy will have on the future demographics of the District, the local economy is still feeling the effects of an on-going lock-out and continuing job losses through plant shutdowns and reduction in workforce. We are experiencing a high rate for students who qualify for free and reduced lunches and instructional fees. The district's October 2015 free and reduced percentage is 51.82% with one school's percentages at or above 84% and another at 82%.
- In recent months, the economy especially in the oil industry is starting to show signs of improvement. This development will affect the districts costs associated with transportation and energy.
- Because of the district's desire not to have bonded - indebtedness or to borrow money, the cash flow in the Capital Projects funds has been greatly affected by the construction of the new Jefferson Elementary building. With the commitment of funds toward the Jefferson construction project, this leaves a shortage of funds available within the Capital Project Funds to do other projects for the next few years.
- The constituents of Muscatine voted on September 8, 2015 to renew the revenue purpose statement for the use of the SAVE funds to the year 2029. In doing so this will continue to allow the district to use the funds where needed.
- The condition of the national, state, and local economies directly affects the future economics of the school. Actions taken by the president, congress, and the governor and state legislators to balance the federal and state budgets affect education funding. Federal sequestration, property tax reform, education reform, and No Child Left Behind are just a few issues on the horizon.

#### **CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT**

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Jean Garner, Director of Finance and Budgeting, Muscatine Community School District, 2900 Mulberry Avenue, Muscatine, Iowa 52761.

# Muscatine Community School District

## Statement of Net Position

June 30, 2015

|                                            | Primary Government         |                             |                      | Muscatine<br>Community<br>School<br>Foundation |
|--------------------------------------------|----------------------------|-----------------------------|----------------------|------------------------------------------------|
|                                            | Governmental<br>Activities | Business-Type<br>Activities | Total                |                                                |
| <b>Assets</b>                              |                            |                             |                      |                                                |
| Cash and pooled investments                | \$ 17,777,555              | \$ 286,913                  | \$ 18,064,468        | \$ 2,443,233                                   |
| Receivables:                               |                            |                             |                      |                                                |
| Property tax:                              |                            |                             |                      |                                                |
| Current year                               | 202,660                    | -                           | 202,660              | -                                              |
| Succeeding year                            | 18,880,746                 | -                           | 18,880,746           | -                                              |
| Accounts                                   | 46,824                     | 6,888                       | 53,712               | -                                              |
| Income surtax                              | 285,622                    | -                           | 285,622              | -                                              |
| Due from other governments                 | 1,937,386                  | -                           | 1,937,386            | -                                              |
| Inventories                                | 73,669                     | 77,328                      | 150,997              | -                                              |
| Capital assets:                            |                            |                             |                      |                                                |
| Nondepreciable                             | 12,689,231                 | -                           | 12,689,231           | -                                              |
| Depreciable, net                           | 34,234,576                 | 205,788                     | 34,440,364           | -                                              |
| <b>Total assets</b>                        | <b>86,128,269</b>          | <b>576,917</b>              | <b>86,705,186</b>    | <b>2,443,233</b>                               |
| <b>Deferred Outflows of Resources,</b>     |                            |                             |                      |                                                |
| pension related deferred outflows          | 3,997,013                  | 129,872                     | 4,126,885            | -                                              |
| <b>Liabilities</b>                         |                            |                             |                      |                                                |
| Accounts payable                           | 1,256,008                  | 1,493                       | 1,257,501            | 24,125                                         |
| Retainage payable                          | 509,934                    | -                           | 509,934              | -                                              |
| Salaries and benefits payable              | 5,558,482                  | 102,575                     | 5,661,057            | -                                              |
| Unearned revenue                           | -                          | 44,300                      | 44,300               | -                                              |
| Long-term liabilities:                     |                            |                             |                      |                                                |
| Portion due within one year:               |                            |                             |                      |                                                |
| Early retirement                           | 733,090                    | -                           | 733,090              | -                                              |
| Portion due after one year:                |                            |                             |                      |                                                |
| Early retirement                           | 1,839,630                  | -                           | 1,839,630            | -                                              |
| Net OPEB liability                         | 947,654                    | 47,780                      | 995,434              | -                                              |
| Net pension liability                      | 19,345,138                 | 628,573                     | 19,973,711           | -                                              |
| <b>Total liabilities</b>                   | <b>30,189,936</b>          | <b>824,721</b>              | <b>31,014,657</b>    | <b>24,125</b>                                  |
| <b>Deferred Inflows of Resources</b>       |                            |                             |                      |                                                |
| Succeeding year property tax               | 18,880,746                 | -                           | 18,880,746           | -                                              |
| Pension related deferred inflows           | 7,516,530                  | 244,232                     | 7,760,762            | -                                              |
| <b>Total deferred inflows of resources</b> | <b>26,397,276</b>          | <b>244,232</b>              | <b>26,641,508</b>    | <b>-</b>                                       |
| <b>Net Position</b>                        |                            |                             |                      |                                                |
| Net investment in capital assets           | 46,923,807                 | 205,788                     | 47,129,595           | -                                              |
| Restricted for:                            |                            |                             |                      |                                                |
| Categorical funding                        | 1,672,511                  | -                           | 1,672,511            | -                                              |
| Management levy                            | 907,227                    | -                           | 907,227              | -                                              |
| Physical plant and equipment levy          | 832,202                    | -                           | 832,202              | -                                              |
| Student activities                         | 418,918                    | -                           | 418,918              | -                                              |
| School infrastructure                      | 1,052,479                  | -                           | 1,052,479            | -                                              |
| Instructional programs                     | 53,457                     | -                           | 53,457               | -                                              |
| Scholarships and grants                    | -                          | -                           | -                    | 2,339,745                                      |
| Unrestricted                               | (18,322,531)               | (567,952)                   | (18,890,483)         | 79,363                                         |
| <b>Total net position</b>                  | <b>\$ 33,538,070</b>       | <b>\$ (362,164)</b>         | <b>\$ 33,175,906</b> | <b>\$ 2,419,108</b>                            |

See Notes to Financial Statements.

# Muscatine Community School District

## Statement of Activities Year Ended June 30, 2015

| Functions/Programs                                    | Expenses      | Charges<br>for Services |
|-------------------------------------------------------|---------------|-------------------------|
| Governmental activities:                              |               |                         |
| Instruction                                           | \$ 36,976,995 | \$ 1,705,257            |
| Support services:                                     |               |                         |
| Student services                                      | 1,662,045     | -                       |
| Instructional staff services                          | 1,559,083     | -                       |
| Administration services                               | 6,487,486     | -                       |
| Operation and maintenance of plant services           | 4,630,455     | -                       |
| Transportation services                               | 2,172,991     | 110,889                 |
|                                                       | 16,512,060    | 110,889                 |
| Noninstructional programs                             | 42,635        | -                       |
| Other expenditures:                                   |               |                         |
| Interest on long-term debt                            | 9,731         | -                       |
| Unallocated depreciation                              | 2,366,966     | -                       |
| AEA flowthrough                                       | 2,207,805     | -                       |
|                                                       | 4,584,502     | -                       |
| Total governmental activities                         | 58,116,192    | 1,816,146               |
| Business-type activities:                             |               |                         |
| Support services:                                     |               |                         |
| Administration services                               | 54,450        | -                       |
|                                                       | 54,450        | -                       |
| Noninstructional programs, food<br>service operations | 2,650,030     | 894,309                 |
| Total business-type activities                        | 2,704,480     | 894,309                 |
| Total primary government                              | \$ 60,820,672 | \$ 2,710,455            |
| Component unit:                                       |               |                         |
| Muscatine community school foundation                 | 197,711       | -                       |
| General revenues:                                     |               |                         |
| Property tax levied for:                              |               |                         |
| General purposes                                      |               |                         |
| Capital outlay                                        |               |                         |
| Other specific purposes                               |               |                         |
| Income surtax                                         |               |                         |
| Statewide sales and services tax                      |               |                         |
| Unrestricted state grants                             |               |                         |
| Unrestricted investment earnings                      |               |                         |
| Total general revenues                                |               |                         |

Change in net position

Net position, beginning of year, as restated

Net position, end of year

See Notes to Financial Statements.



| Program Revenues                      |                                     | Net (Expense) Revenue<br>and Changes in Net Position |                             |                 |                   |
|---------------------------------------|-------------------------------------|------------------------------------------------------|-----------------------------|-----------------|-------------------|
| Operating Grants<br>and Contributions | Capital Grants<br>and Contributions | Governmental<br>Activities                           | Business-Type<br>Activities | Total           | Component<br>Unit |
| \$ 9,097,878                          | \$ -                                | \$ (26,173,860)                                      | \$ -                        | \$ (26,173,860) | \$ -              |
| 672,565                               | -                                   | (989,480)                                            | -                           | (989,480)       | -                 |
| -                                     | -                                   | (1,559,083)                                          | -                           | (1,559,083)     | -                 |
| -                                     | -                                   | (6,487,486)                                          | -                           | (6,487,486)     | -                 |
| -                                     | -                                   | (4,630,455)                                          | -                           | (4,630,455)     | -                 |
| 24,372                                | -                                   | (2,037,730)                                          | -                           | (2,037,730)     | -                 |
| 696,937                               | -                                   | (15,704,234)                                         | -                           | (15,704,234)    | -                 |
| -                                     | -                                   | (42,635)                                             | -                           | (42,635)        | -                 |
| -                                     | -                                   | (9,731)                                              | -                           | (9,731)         | -                 |
| -                                     | -                                   | (2,366,966)                                          | -                           | (2,366,966)     | -                 |
| 2,207,805                             | -                                   | -                                                    | -                           | -               | -                 |
| 2,207,805                             | -                                   | (2,376,697)                                          | -                           | (2,376,697)     | -                 |
| 12,002,620                            | -                                   | (44,297,426)                                         | -                           | (44,297,426)    | -                 |
| -                                     | -                                   | -                                                    | (54,450)                    | (54,450)        | -                 |
| -                                     | -                                   | -                                                    | (54,450)                    | (54,450)        | -                 |
| 1,857,055                             | -                                   | -                                                    | 101,334                     | 101,334         | -                 |
| 1,857,055                             | -                                   | -                                                    | 46,884                      | 46,884          | -                 |
| \$ 13,859,675                         | \$ -                                | (44,297,426)                                         | 46,884                      | (44,250,542)    | -                 |
| 141,945                               | -                                   | -                                                    | -                           | -               | (55,766)          |
| 15,630,757                            | -                                   | -                                                    | -                           | 15,630,757      | -                 |
| 1,489,958                             | -                                   | -                                                    | -                           | 1,489,958       | -                 |
| 1,237,006                             | -                                   | -                                                    | -                           | 1,237,006       | -                 |
| 304,655                               | -                                   | -                                                    | -                           | 304,655         | -                 |
| 5,333,846                             | -                                   | -                                                    | -                           | 5,333,846       | -                 |
| 27,744,373                            | -                                   | -                                                    | -                           | 27,744,373      | -                 |
| 31,848                                | 91                                  | -                                                    | 31,939                      | 108,766         | 108,766           |
| 51,772,443                            | 91                                  | -                                                    | 51,772,534                  | 108,766         | 108,766           |
| 7,475,017                             | 46,975                              | -                                                    | 7,521,992                   | 53,000          | 53,000            |
| 26,063,053                            | (409,139)                           | -                                                    | 25,653,914                  | 2,366,108       | 2,366,108         |
| \$ 33,538,070                         | \$ (362,164)                        | \$ -                                                 | \$ 33,175,906               | \$ 2,419,108    | \$ 2,419,108      |

# Muscatine Community School District

## Balance Sheet Governmental Funds June 30, 2015

|                                                                           | General              | Capital Projects    | Nonmajor            | Total                |
|---------------------------------------------------------------------------|----------------------|---------------------|---------------------|----------------------|
| <b>Assets</b>                                                             |                      |                     |                     |                      |
| Cash and pooled investments                                               | \$ 14,654,306        | \$ 1,761,846        | \$ 1,361,403        | \$ 17,777,555        |
| Receivables:                                                              |                      |                     |                     |                      |
| Property tax:                                                             |                      |                     |                     |                      |
| Current year                                                              | 172,687              | 16,200              | 13,773              | 202,660              |
| Succeeding year                                                           | 15,855,798           | 1,774,951           | 1,249,997           | 18,880,746           |
| Accounts                                                                  | 28,747               | -                   | 18,077              | 46,824               |
| Income surtax                                                             | 285,622              | -                   | -                   | 285,622              |
| Due from other governments                                                | 884,565              | 1,052,821           | -                   | 1,937,386            |
| Inventories                                                               | 73,669               | -                   | -                   | 73,669               |
| <b>Total assets</b>                                                       | <b>\$ 31,955,394</b> | <b>\$ 4,605,818</b> | <b>\$ 2,643,250</b> | <b>\$ 39,204,462</b> |
| <b>Liabilities, Deferred Inflows of Resources, and Fund Balances</b>      |                      |                     |                     |                      |
| Liabilities:                                                              |                      |                     |                     |                      |
| Accounts payable                                                          | \$ 806,105           | \$ 436,252          | \$ 13,651           | \$ 1,256,008         |
| Retainage payable                                                         | -                    | 509,934             | -                   | 509,934              |
| Salaries and benefits payable                                             | 5,558,482            | -                   | -                   | 5,558,482            |
| <b>Total liabilities</b>                                                  | <b>6,364,587</b>     | <b>946,186</b>      | <b>13,651</b>       | <b>7,324,424</b>     |
| Deferred Inflows of Resources:                                            |                      |                     |                     |                      |
| Unavailable revenue:                                                      |                      |                     |                     |                      |
| Succeeding year property tax                                              | 15,855,798           | 1,774,951           | 1,249,997           | 18,880,746           |
| Income surtax                                                             | 285,622              | -                   | -                   | 285,622              |
| Statewide sales and services tax                                          | -                    | 266,692             | -                   | 266,692              |
| <b>Total deferred inflows of resources</b>                                | <b>16,141,420</b>    | <b>2,041,643</b>    | <b>1,249,997</b>    | <b>19,433,060</b>    |
| Fund balances:                                                            |                      |                     |                     |                      |
| Nonspendable                                                              | 73,669               | -                   | -                   | 73,669               |
| Restricted for:                                                           |                      |                     |                     |                      |
| Categorical funding                                                       | 1,672,511            | -                   | -                   | 1,672,511            |
| Management levy                                                           | -                    | -                   | 907,227             | 907,227              |
| Physical plant and equipment levy                                         | -                    | 832,202             | -                   | 832,202              |
| School infrastructure                                                     | -                    | 785,787             | -                   | 785,787              |
| Student activity purposes                                                 | -                    | -                   | 418,918             | 418,918              |
| Instructional programs                                                    | -                    | -                   | 53,457              | 53,457               |
| Unassigned                                                                | 7,703,207            | -                   | -                   | 7,703,207            |
| <b>Total fund balances</b>                                                | <b>9,449,387</b>     | <b>1,617,989</b>    | <b>1,379,602</b>    | <b>12,446,978</b>    |
| <b>Total liabilities, deferred inflows of resources and fund balances</b> | <b>\$ 31,955,394</b> | <b>\$ 4,605,818</b> | <b>\$ 2,643,250</b> | <b>\$ 39,204,462</b> |

See Notes to Financial Statements.

## Muscatine Community School District

### Reconciliation of the Balance Sheet - Governmental Funds to the Statement of Net Position June 30, 2015

---

|                                                                                                                                                                                                      |                             |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| Total fund balances of governmental funds                                                                                                                                                            | \$ 12,446,978               |
| Amounts reported for governmental activities in the Statement of Net Position are different because:                                                                                                 |                             |
| Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.                                                     | 46,923,807                  |
| Other long-term assets are not available to pay for current period expenditures and, therefore, are unavailable in the funds.                                                                        | 552,314                     |
| Pension related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows: |                             |
| Deferred outflows of resources                                                                                                                                                                       | 3,997,013                   |
| Deferred inflows of resources                                                                                                                                                                        | (7,516,530)                 |
| Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds.    |                             |
| Early retirement                                                                                                                                                                                     | (2,572,720)                 |
| Net OPEB liability                                                                                                                                                                                   | (947,654)                   |
| Net pension liability                                                                                                                                                                                | (19,345,138)                |
| <b>Net position of governmental activities</b>                                                                                                                                                       | <u><u>\$ 33,538,070</u></u> |

See Notes to Financial Statements.

# Muscatine Community School District

## Statement of Revenues, Expenditures and Changes in Fund Balances

### Governmental Funds

Year Ended June 30, 2015

|                                                                  | General           | Capital Projects   | Nonmajor         | Total              |
|------------------------------------------------------------------|-------------------|--------------------|------------------|--------------------|
| Revenues:                                                        |                   |                    |                  |                    |
| Local sources:                                                   |                   |                    |                  |                    |
| Local tax                                                        | \$ 15,902,022     | \$ 1,489,958       | \$ 1,237,006     | \$ 18,628,986      |
| Tuition                                                          | 530,347           | -                  | -                | 530,347            |
| Other                                                            | 714,448           | 8,505              | 594,794          | 1,317,747          |
| State sources                                                    | 37,225,824        | 5,115,995          | 41,653           | 42,383,472         |
| Federal sources                                                  | 2,414,837         | 8,548              | 7,290            | 2,430,675          |
| <b>Total revenues</b>                                            | <b>56,787,478</b> | <b>6,623,006</b>   | <b>1,880,743</b> | <b>65,291,227</b>  |
| Expenditures:                                                    |                   |                    |                  |                    |
| Current:                                                         |                   |                    |                  |                    |
| Instruction                                                      | 36,135,505        | -                  | 1,373,728        | 37,509,233         |
| Support services:                                                |                   |                    |                  |                    |
| Student services                                                 | 1,622,331         | -                  | 20,259           | 1,642,590          |
| Instructional staff services                                     | 1,511,625         | 8,177              | 3,581            | 1,523,383          |
| Administration services                                          | 6,046,660         | 368,496            | 41,069           | 6,456,225          |
| Operation and maintenance of plant services                      | 4,539,689         | 23,226             | 365,974          | 4,928,889          |
| Transportation services                                          | 1,564,283         | 263,367            | 84,448           | 1,912,098          |
|                                                                  | 15,284,588        | 663,266            | 515,331          | 16,463,185         |
| Noninstructional programs                                        | -                 | -                  | 62,880           | 62,880             |
| Other expenditures:                                              |                   |                    |                  |                    |
| Facilities acquisition                                           | -                 | 9,609,011          | -                | 9,609,011          |
| AEA flowthrough                                                  | 2,207,805         | -                  | -                | 2,207,805          |
|                                                                  | 2,207,805         | 9,609,011          | -                | 11,816,816         |
| Debt Service:                                                    |                   |                    |                  |                    |
| Principal                                                        | -                 | -                  | 607,138          | 607,138            |
| Interest                                                         | -                 | -                  | 10,829           | 10,829             |
|                                                                  | -                 | -                  | 617,967          | 617,967            |
| <b>Total expenditures</b>                                        | <b>53,627,898</b> | <b>10,272,277</b>  | <b>2,569,906</b> | <b>66,470,081</b>  |
| <b>Excess (deficiency) of revenues over (under) expenditures</b> | <b>3,159,580</b>  | <b>(3,649,271)</b> | <b>(689,163)</b> | <b>(1,178,854)</b> |
| Other financing sources (uses):                                  |                   |                    |                  |                    |
| Proceeds from sale of capital assets                             | 5,504             | -                  | -                | 5,504              |
| Interfund transfers in                                           | -                 | -                  | 617,967          | 617,967            |
| Interfund transfers out                                          | -                 | (617,967)          | -                | (617,967)          |
| <b>Total other financing sources (uses)</b>                      | <b>5,504</b>      | <b>(617,967)</b>   | <b>617,967</b>   | <b>5,504</b>       |
| <b>Net change in fund balance</b>                                | <b>3,165,084</b>  | <b>(4,267,238)</b> | <b>(71,196)</b>  | <b>(1,173,350)</b> |
| Fund balances, beginning of year                                 | 6,284,303         | 5,885,227          | 1,450,798        | 13,620,328         |
| Fund balances, end of year                                       | \$ 9,449,387      | \$ 1,617,989       | \$ 1,379,602     | \$ 12,446,978      |

See Notes to Financial Statements.

## Muscatine Community School District

### Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities Year Ended June 30, 2015

---

|                                                        |    |             |
|--------------------------------------------------------|----|-------------|
| Net change in fund balances - total governmental funds | \$ | (1,173,350) |
|--------------------------------------------------------|----|-------------|

Amounts reported for governmental activities in the Statement of  
Activities are different because:

Capital outlays to purchase or build capital assets are reported in  
governmental funds as expenditures. However, those costs are not  
reported in the Statement of Net Position and are allocated over  
their estimated useful lives as depreciation expense in the Statement  
of Activities. The amounts of capital outlays and depreciation expense  
in the year are as follows:

|                                      |    |             |           |
|--------------------------------------|----|-------------|-----------|
| Expenditures for capital assets      | \$ | 10,008,248  |           |
| Depreciation expense                 |    | (3,172,581) |           |
| Proceeds from sale of capital assets |    | (5,504)     |           |
| Loss on disposal of capital asset    |    | (6,066)     | 6,824,097 |

Revenues in the statement of activities that do not provide current  
financial resources are not reported as revenues in the funds, change  
in unavailable revenues

299,982

The issuance of long-term debt provides current financial resources to  
governmental funds, while the repayments of the principal of long-term  
debt consumes the current financial resources of governmental funds.  
The issuance of debt increases liabilities in the Statement of Net Position,  
while the repayment of long-term debt reduces long-term liabilities. The  
following is the detail of the net effect of these differences in the  
treatment of long-term debt and related items:

|                                              |         |
|----------------------------------------------|---------|
| Repayment of principal on capital loan notes | 607,138 |
|----------------------------------------------|---------|

The current year District employer share of IPERS contributions are reported  
as expenditures in the governmental funds, but are reported as a deferred  
outflow of resources in the Statement of Net Position

82,691

Some expenses reported in the Statement of Activities do not require  
the use of current financial resources and, therefore, are not reported  
as expenditures in the governmental funds, as follows:

|                          |           |         |
|--------------------------|-----------|---------|
| Accrued interest payable | 1,098     |         |
| Early retirement         | (287,099) |         |
| Pension expense          | 1,434,832 |         |
| Net OPEB liability       | (314,372) | 834,459 |

**Change in net position of governmental activities**

**\$ 7,475,017**

See Notes to Financial Statements.

**Muscatine Community School District**

**Statement of Net Position**

**Proprietary Funds**

**June 30, 2015**

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|                                                                             | Nonmajor<br>Enterprise Fund<br>School<br>Nutrition |
|-----------------------------------------------------------------------------|----------------------------------------------------|
| <b>Assets</b>                                                               |                                                    |
| Cash and cash equivalents                                                   | \$ 286,913                                         |
| Accounts receivable                                                         | 6,888                                              |
| Inventories                                                                 | 77,328                                             |
| Capital assets, net of accumulated depreciation                             | 205,788                                            |
| <b>Total assets</b>                                                         | <b>576,917</b>                                     |
| <b>Deferred Outflows of Resources,</b><br>pension related deferred outflows | <b>129,872</b>                                     |
| <b>Liabilities</b>                                                          |                                                    |
| Accounts payable                                                            | 1,493                                              |
| Salaries and benefits payable                                               | 102,575                                            |
| Unearned revenue                                                            | 44,300                                             |
| Net OPEB liability                                                          | 47,780                                             |
| Net pension liability                                                       | 628,573                                            |
| <b>Total liabilities</b>                                                    | <b>824,721</b>                                     |
| <b>Deferred Inflows of Resources,</b><br>pension related deferred inflows   | <b>244,232</b>                                     |
| <b>Net Position</b>                                                         |                                                    |
| Net investment in capital assets                                            | 205,788                                            |
| Unrestricted                                                                | (567,952)                                          |
| <b>Total net position</b>                                                   | <b>\$ (362,164)</b>                                |

See Notes to Financial Statements.

**Muscatine Community School District**

**Statement of Revenues, Expenses and Changes in Net Position**

**Proprietary Funds**

**Year Ended June 30, 2015**

|                                              | Nonmajor<br>Enterprise Fund<br>School<br>Nutrition |
|----------------------------------------------|----------------------------------------------------|
| Operating revenues:                          |                                                    |
| Local sources, charges for services          | \$ 894,309                                         |
| Operating expenses:                          |                                                    |
| Support services:                            |                                                    |
| Salaries                                     | 34,046                                             |
| Benefits                                     | 14,444                                             |
| Purchased services                           | 5,920                                              |
| Supplies                                     | 40                                                 |
|                                              | 54,450                                             |
| Noninstructional programs:                   |                                                    |
| Salaries                                     | 1,010,010                                          |
| Benefits                                     | 336,490                                            |
| Purchased services                           | 18,778                                             |
| Supplies                                     | 1,254,821                                          |
| Depreciation                                 | 29,701                                             |
| Other                                        | 230                                                |
|                                              | 2,650,030                                          |
| <b>Total operating expenses</b>              | <b>2,704,480</b>                                   |
| <b>Operating (loss)</b>                      | <b>(1,810,171)</b>                                 |
| Nonoperating revenues (expenses):            |                                                    |
| Interest on investments                      | 91                                                 |
| State sources                                | 22,306                                             |
| Federal sources                              | 1,834,749                                          |
| <b>Total nonoperating revenues</b>           | <b>1,857,146</b>                                   |
| <b>Change in net position</b>                | <b>46,975</b>                                      |
| Net position, beginning of year, as restated | (409,139)                                          |
| Net position, end of year                    | \$ (362,164)                                       |

See Notes to Financial Statements.

# Muscatine Community School District

## Statement of Cash Flows

### Proprietary Funds

Year Ended June 30, 2015

|                                                                  | Nonmajor<br>Enterprise Fund<br>School<br>Nutrition |
|------------------------------------------------------------------|----------------------------------------------------|
| Cash flows from operating activities:                            |                                                    |
| Cash received from sale of lunches and breakfasts                | \$ 872,852                                         |
| Cash payments to employees for services                          | (1,471,117)                                        |
| Cash payments to suppliers for goods or services                 | (1,080,864)                                        |
| <b>Net cash (used in) operating activities</b>                   | <b>(1,679,129)</b>                                 |
| Cash flows from noncapital financing activities:                 |                                                    |
| State grants received                                            | 22,306                                             |
| Federal grants received                                          | 1,630,145                                          |
| <b>Net cash provided by noncapital financing activities</b>      | <b>1,652,451</b>                                   |
| Cash flows (used in) capital related financing activities,       |                                                    |
| Acquisition of capital assets                                    | (1,088)                                            |
| Cash flows from investing activities, interest on investments    | 91                                                 |
| <b>Net (decrease) in cash and cash equivalents</b>               | <b>(27,675)</b>                                    |
| Cash and cash equivalents, beginning of year                     | 314,588                                            |
| Cash and cash equivalents, end of year                           | <u>\$ 286,913</u>                                  |
| Reconciliation of operating (loss) to net cash                   |                                                    |
| (used in) operating activities:                                  |                                                    |
| Operating (loss)                                                 | \$ (1,810,171)                                     |
| Adjustments to reconcile operating (loss) to net cash            |                                                    |
| (used in) operating activities:                                  |                                                    |
| Depreciation                                                     | 29,701                                             |
| Commodities used                                                 | 204,604                                            |
| Decrease in accounts receivable                                  | 6,474                                              |
| (Increase) in inventories                                        | (2,601)                                            |
| (Decrease) in accounts payable                                   | (3,078)                                            |
| (Decrease) in salaries and benefits payable                      | (42,742)                                           |
| Increase in net OPEB liability                                   | 15,920                                             |
| (Decrease) in net pension liability and related                  |                                                    |
| deferred outflows of resources and deferred inflows of resources | (49,305)                                           |
| (Decrease) in unearned revenue                                   | (27,931)                                           |
| <b>Net cash (used in) operating activities</b>                   | <b>\$ (1,679,129)</b>                              |
| Schedule of noncash items:                                       |                                                    |
| Noncapital financing activities, federal commodities             | <u>\$ 204,604</u>                                  |

See Notes to Financial Statements.



**Muscatine Community School District**

**Statement of Fiduciary Net Position**

**Fiduciary Funds**

**June 30, 2015**

---

|                                                   | Private Purpose<br>Trust | Agency          |
|---------------------------------------------------|--------------------------|-----------------|
| <b>Assets</b>                                     |                          |                 |
| Cash and pooled investments                       | \$ 166,694               | \$ 2,138        |
| <b>Total assets</b>                               | <u>\$ 166,694</u>        | <u>\$ 2,138</u> |
| <b>Liabilities</b>                                |                          |                 |
| Due to other groups                               | \$ -                     | \$ 2,138        |
| <b>Total liabilities</b>                          | <u>\$ -</u>              | <u>\$ 2,138</u> |
| <b>Net Position</b> , restricted for scholarships | <u>\$ 166,694</u>        |                 |

See Notes to Financial Statements.

**Muscatine Community School District**

**Statement of Changes in Fiduciary Net Position**

**Fiduciary Funds**

**Year Ended June 30, 2015**

---

|                                      | Private Purpose<br>Trust |
|--------------------------------------|--------------------------|
| Additions:                           |                          |
| Local sources, other                 | <u>\$ 23,026</u>         |
| Deductions:                          |                          |
| Instruction,<br>scholarships awarded | <u>\$ 8,000</u>          |
| <b>Net change in net position</b>    | 15,026                   |
| Net Position, beginning of year      | <u>151,668</u>           |
| Net Position, end of year            | <u><u>\$ 166,694</u></u> |

See Notes to Financial Statements.

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### **Note 1. Summary of Significant Accounting Policies**

Muscatine Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve and special education pre-kindergarten. The geographic area served includes the City of Muscatine, Iowa and the predominately agricultural territory of Muscatine County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

#### **Reporting entity:**

For financial reporting purposes, Muscatine Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District.

The financial statements present Muscatine Community School District (the primary government) and its component unit. The component unit discussed below is included in the District's reporting entity due to the significance of its operational and financial relationship with the District.

Discretely presented component unit: Muscatine Community School Foundation is a legally separate not-for-profit foundation. The Foundation was established for the purpose of giving financial assistance to the Muscatine Community School District and for granting scholarships to its students who attend community colleges and universities. The Foundation is governed by a Board of Directors that is appointed and subject to approval by the District's Board of Education. Two directors of the Foundation's board are required to be held by the District's superintendent and high school principal. The Foundation has a December 31 year-end. Separate financial statements of the Foundation are available at the District's administrative offices.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Muscatine County Assessor's Conference Board.

#### **Basis of presentation:**

District-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

## Muscatine Community School District

### Notes to Basic Financial Statements

---

#### Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Net Position presents the District's nonfiduciary assets and liabilities, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the District-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

**Special Revenue Funds:** Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

## Muscatine Community School District

### Notes to Basic Financial Statements

---

#### **Note 1. Summary of Significant Accounting Policies (Continued)**

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

The Support Trust Fund accounts for donations specifically restricted for instructional programs.

The Debt Service Fund accounts for the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs. Revenue of the fund primarily consists of local property taxes.

The District's nonmajor proprietary fund is the Enterprise, School Nutrition Fund, used to account for the food service operations of the District.

The District also reported fiduciary funds. The District's fiduciary funds include the following:

The Private Purpose Trust Funds account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

The Agency Fund is used to account for assets held by the District as an agent for individuals, private organizations and other governments. The Agency Fund is custodial in nature, assets equal liabilities and does not involve measurement of results of operations.

#### **Measurement focus and basis of accounting:**

The District-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### **Note 1. Summary of Significant Accounting Policies (Continued)**

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

#### **Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:**

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the District-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied. The property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2013 assessed property valuations; is for the tax accrual period July 1, 2014 through June 30, 2015 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2014.

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### Note 1. Summary of Significant Accounting Policies (Continued)

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Capital assets: Capital assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at estimated fair value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

| Asset Class                       | Amount  |
|-----------------------------------|---------|
| Land                              | \$ 1    |
| Buildings                         | 2,500   |
| Improvements other than buildings | 2,500   |
| Intangibles                       | 200,000 |
| Furniture and equipment:          |         |
| School Nutrition Fund equipment   | 250     |
| Other furniture and equipment     | 2,500   |

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

| Asset Class                       | Estimated Useful Lives |
|-----------------------------------|------------------------|
| Buildings                         | 50 years               |
| Improvements other than buildings | 20 years               |
| Intangibles                       | 2 - 20 years           |
| Furniture and equipment           | 5 - 15 years           |

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unearned revenue: Proprietary funds defer revenue recognition in connection with resources that have been received but not earned. Unearned revenue in the governmental funds arises when assets are recognized before revenue recognition criteria have been satisfied. Unearned revenue consists primarily of school registration fees and meal revenues collected for the programs and services in the next school year.

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### Note 1. Summary of Significant Accounting Policies (Continued)

Long-term liabilities: In the District-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

**Nonspendable:** Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

**Restricted:** Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

**Committed:** Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

**Assigned:** Fund balances that contain self-imposed constraints of the government to be used for a particular purpose. The authority to assign fund balances has been delegated to the Director of Finance.

**Unassigned:** All amounts not included in other spendable classifications as well as any deficit fund balance of any other governmental fund is reported as unassigned.



## Muscatine Community School District

### Notes to Basic Financial Statements

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#### Note 1. Summary of Significant Accounting Policies (Continued)

When an expenditure is incurred for purposes for which amounts in the committed, assigned, or unassigned fund balance classifications could be used, the District's policy is generally to first apply the expenditure to restricted fund balance and then to less restrictive classifications – committed, assigned and then unassigned fund balances.

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of fund balance or net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of fund balance or net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District's deferred inflows of resources in the government-wide statements consist of succeeding year property tax revenue and the unamortized portion of the net difference between projected and actual earnings on pension plan investments.

The District reports unavailable revenue in the governmental funds balance sheet from the statewide sales and services tax, income surtax, and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available.

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net investment in capital assets excludes unspent debt proceeds. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2015 consists of \$1,672,511 for categorical funding, \$907,227 for management levy purposes, \$832,202 for physical plant and equipment levy, \$418,918 for student activities, \$1,052,479 for school infrastructure, and \$53,457 for instructional programs.

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### Note 1. Summary of Significant Accounting Policies (Continued)

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

#### Budgets and budgetary control:

The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2015, expenditures exceeded the amounts budgeted in support services and other functions.

#### Note 2. Cash and Pooled Investments

The District's cash and pooled investments consisted of depository accounts at financial institutions including certificate of deposits. The District's deposits in banks as of June 30, 2015 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds.

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

The Foundation's cash and investments as of December 31, 2014 consists of the following:

|                                             |    |                  |
|---------------------------------------------|----|------------------|
| Depository accounts                         | \$ | 390,008          |
| Cash equivalents within investment accounts |    | 134              |
| Certificates of deposit                     |    | 130,359          |
| Mutual funds                                |    | 1,922,732        |
|                                             | \$ | <u>2,443,233</u> |

Interest rate risk: The Foundation's formal investment policy does not limit the type of authorized investments. Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in the market interest rates. As of December 31, 2014, the Foundation had the following investments:

## Muscatine Community School District

### Notes to Basic Financial Statements

#### Note 2. Cash and Pooled Investments (Continued)

|                         | Investment Maturities (in Years) |                     |                  |             |                 |
|-------------------------|----------------------------------|---------------------|------------------|-------------|-----------------|
|                         | Fair Value                       | Less<br>than 1      | 1 - 5            | 6 - 10      | More<br>than 10 |
| Foundation Investments  |                                  |                     |                  |             |                 |
| Certificates of Deposit | \$ 130,359                       | \$ 60,572           | \$ 69,787        | \$ -        | \$ -            |
| Mutual Funds:           |                                  |                     |                  |             |                 |
| Edward Jones            | 1,128,642                        | 1,128,642           | -                | -           | -               |
| Wells Fargo             | 794,090                          | 794,090             | -                | -           | -               |
|                         | <u>\$ 2,053,091</u>              | <u>\$ 1,983,304</u> | <u>\$ 69,787</u> | <u>\$ -</u> | <u>\$ -</u>     |

**Credit risk:** Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. As of December 31, 2014, credit ratings were not available for the Foundation's investments. The Foundation's investment policy does not specify the types of investments the Foundation is authorized to invest in and there is no formal policy for credit risk.

**Concentration of credit risk:** The Foundation's formal investment policy attempts to allow flexibility, equality of opportunity and maximum interest yield on the Foundation's investments. The Foundation's investments in mutual funds are not subject to concentration of credit risk.

**Custodial credit risk:** Custodial credit risk is the risk that in the event of a bank failure, the Foundation's deposits may not be returned to it. As of December 31, 2014, the Foundation's carrying amount of deposits (cash, cash equivalents, and certificates of deposit) totaled \$521,903 with the bank balance of \$521,403. Of the bank balance, \$351,403 was covered by federal depository insurance with the remaining \$170,500 uninsured and uncollateralized. Investments in mutual funds are not exposed to custodial credit risk.

#### Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2015 is as follows:

| Transfer To       | Transfer From         | Amount     |
|-------------------|-----------------------|------------|
| Debt Service Fund | Capital Projects Fund | \$ 617,967 |

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources.

**Muscatine Community School District**

**Notes to Basic Financial Statements**

**Note 4. Capital Assets**

Capital assets activity for the year ended June 30, 2015 is as follows:

|                                                         | Balance<br>Beginning<br>of Year | Increases           | Decreases        | Balance End<br>of Year |
|---------------------------------------------------------|---------------------------------|---------------------|------------------|------------------------|
| Governmental activities:                                |                                 |                     |                  |                        |
| Capital assets not being depreciated:                   |                                 |                     |                  |                        |
| Land                                                    | \$ 1,406,537                    | \$ 108,697          | \$ -             | \$ 1,515,234           |
| Construction in progress                                | 1,879,868                       | 9,332,932           | 38,803           | 11,173,997             |
| <b>Total capital assets not<br/>being depreciated</b>   | <b>3,286,405</b>                | <b>9,441,629</b>    | <b>38,803</b>    | <b>12,689,231</b>      |
| Capital assets being depreciated:                       |                                 |                     |                  |                        |
| Buildings                                               | 62,107,888                      | 173,857             | -                | 62,281,745             |
| Improvements other than buildings                       | 2,584,941                       | 38,803              | -                | 2,623,744              |
| Furniture and equipment                                 | 7,369,510                       | 392,762             | 395,484          | 7,366,788              |
| <b>Total capital assets being<br/>depreciated</b>       | <b>72,062,339</b>               | <b>605,422</b>      | <b>395,484</b>   | <b>72,272,277</b>      |
| Less accumulated depreciation for:                      |                                 |                     |                  |                        |
| Buildings                                               | 28,734,558                      | 2,392,280           | -                | 31,126,838             |
| Improvements other than buildings                       | 1,165,043                       | 123,054             | -                | 1,288,097              |
| Furniture and equipment                                 | 5,349,433                       | 657,247             | 383,914          | 5,622,766              |
| <b>Total accumulated depreciation</b>                   | <b>35,249,034</b>               | <b>3,172,581</b>    | <b>383,914</b>   | <b>38,037,701</b>      |
| <b>Total capital assets being<br/>depreciated, net</b>  | <b>36,813,305</b>               | <b>(2,567,159)</b>  | <b>11,570</b>    | <b>34,234,576</b>      |
| <b>Governmental activities capital<br/>assets, net</b>  | <b>\$ 40,099,710</b>            | <b>\$ 6,874,470</b> | <b>\$ 50,373</b> | <b>\$ 46,923,807</b>   |
| Business-type activities:                               |                                 |                     |                  |                        |
| Furniture and equipment                                 | \$ 807,933                      | \$ 1,088            | \$ -             | \$ 809,021             |
| Less accumulated depreciation                           | 573,532                         | 29,701              | -                | 603,233                |
| <b>Business-type activities capital<br/>assets, net</b> | <b>\$ 234,401</b>               | <b>\$ (28,613)</b>  | <b>\$ -</b>      | <b>\$ 205,788</b>      |

## Muscatine Community School District

### Notes to Basic Financial Statements

#### Note 4. Capital Assets (Continued)

Depreciation expense was charged by the District as follows:

Governmental activities:

|                                                           |                     |
|-----------------------------------------------------------|---------------------|
| Instruction                                               | \$ 46,460           |
| Support services:                                         |                     |
| Student services                                          | 66,533              |
| Instructional staff services                              | 59,197              |
| Administration                                            | 117,730             |
| Operation and maintenance of plant services               | 182,323             |
| Transportation services                                   | 299,092             |
| Noninstructional programs                                 | 34,280              |
| Unallocated depreciation                                  | 2,366,966           |
| <b>Total governmental activities depreciation expense</b> | <b>\$ 3,172,581</b> |
| Business-type activities, food service operations         | \$ 29,701           |

#### Note 5. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2015 is as follows:

|                           | Balance<br>Beginning<br>of Year | Additions           | Reductions          | Balance End<br>of Year | Due Within<br>One Year |
|---------------------------|---------------------------------|---------------------|---------------------|------------------------|------------------------|
| Governmental activities:  |                                 |                     |                     |                        |                        |
| Computer lease            | \$ 607,138                      | \$ -                | \$ 607,138          | \$ -                   | \$ -                   |
| Early retirement          | 2,285,621                       | 1,125,692           | 838,593             | 2,572,720              | 733,090                |
| Net OPEB liability        | 633,282                         | 314,372             | -                   | 947,654                | -                      |
| Net pension liability     | 27,232,511                      | -                   | 7,887,373           | 19,345,138             | -                      |
|                           | <u>\$ 30,758,552</u>            | <u>\$ 1,440,064</u> | <u>\$ 9,333,104</u> | <u>\$ 22,865,512</u>   | <u>\$ 733,090</u>      |
| Business-type activities: |                                 |                     |                     |                        |                        |
| Net OPEB liability        | \$ 31,860                       | \$ 15,920           | \$ -                | \$ 47,780              | \$ -                   |
| Net pension liability     | 884,853                         | -                   | 256,280             | 628,573                | -                      |
|                           | <u>\$ 916,713</u>               | <u>\$ 15,920</u>    | <u>\$ 256,280</u>   | <u>\$ 676,353</u>      | <u>\$ -</u>            |

The District entered into a computer leases on May 23, 2012 with final payment due in fiscal year 2015.

Early retirement: The District offered a voluntary early retirement plan in the current year to its certified, administrative and classified employees. Eligible employees must be at least age 55 and employees must have completed 15 years of service to the District. Employees must complete an application which is required to be approved by the Board of Education.

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### Note 5. Long-Term Liabilities (Continued)

The early retirement incentive for each eligible employee is equal to 3% of the employee's base salary calculated by using the current year regular salary schedule multiplied by years of service not to exceed 33 years with a maximum cap of \$62,266.

As of June 30, 2015, the District had obligations to 145 participants with a total liability of \$2,572,720. Actual early retirement expenditures for the year ended June 30, 2015 totaled \$838,593. Early retirement is recorded as a long-term liability of the Governmental Activities in the District-wide financial statements. Early retirement obligations are generally liquidated by the Management Fund or the General Fund.

#### Note 6. Other Postemployment Benefits (OPEB)

Plan description: The District operates a single-employer retiree benefit plan which provides medical and prescription drug benefits for retirees and their spouses. There are 781 active and 79 retired members in the plan. Participants must be age 55 or older at retirement.

The medical/prescription drug coverage is provided through a fully insured plan with United Healthcare of the River Valley. Retirees under age 65 pay the same premium for the medical/prescription drug benefit as active employees, which results in an implicit subsidy and an OPEB liability.

Funding policy: The contribution requirements of plan members are established and may be amended by the District. The District currently finances the retiree benefit plan on a pay-as-you-go basis.

Annual OPEB cost and net OPEB obligation: The District's annual OPEB cost is calculated based on the annual required contribution (ARC) of the District, an amount actuarially determined in accordance with GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed 30 years. The following table shows the components of the District's annual OPEB cost for the year ended June 30, 2015, the amount actually contributed to the plan and changes in the District's net OPEB obligation:

|                                            |                   |
|--------------------------------------------|-------------------|
| Annual required contribution               | \$ 831,707        |
| Interest on net OPEB obligation            | 29,931            |
| Adjustment to annual required contribution | (26,543)          |
| Annual OPEB cost                           | 835,095           |
| Contributions made                         | 504,803           |
| Increase in net OPEB obligation            | 330,292           |
| Net OPEB obligation beginning of year      | 665,142           |
| Net OPEB obligation end of year            | <u>\$ 995,434</u> |

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### Note 6. Other Postemployment Benefits (OPEB) (Continued)

The District's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan and the net OPEB obligation as of June 30, 2015 and the two preceding years are summarized as follows:

| Year Ended    | Annual<br>OPEB Cost | Percentage<br>of Annual<br>OPEB Cost<br>Contributed | Net<br>OPEB<br>Obligation |
|---------------|---------------------|-----------------------------------------------------|---------------------------|
| June 30, 2013 | \$ 1,544,795        | 55.3%                                               | \$ 93,932                 |
| June 30, 2014 | 1,622,196           | 64.8%                                               | 665,142                   |
| June 30, 2015 | 835,095             | 60.4%                                               | 995,434                   |

Funded status and funding progress: As of July 1, 2014, the most recent actuarial valuation date for the period July 1, 2014 through June 30, 2015, the actuarial accrued liability was \$9,032,052, with no actuarial value of assets, resulting in an unfunded actuarial accrued liability (UAAL) of \$9,032,502. The covered payroll (annual payroll of active employees covered by the plan) was approximately \$30,252,716 and the ratio of the UAAL to covered payroll was 29.9 percent. As of June 30, 2015, there were no trust fund assets.

Actuarial methods and assumptions: Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and the health care cost trend. Actuarially determined amounts are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The Schedule of Funding Progress, presented as required supplementary information in the section following the notes to financial statements, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Projections of benefits for financial reporting purposes are based on the plan as understood by the employer and the plan members and include the types of benefits provided at the time of each valuation and the historical pattern of sharing benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

As of the July 1, 2014 actuarial valuation date, the projected unit credit actuarial cost method was used. The actuarial assumptions include a 4.5 percent discount rate based on the District's funding policy. The projected annual medical trend rate is 8 percent with annual decreases of 0.5% to 5.00% with an inflation rate of 3.5%.

Mortality rates are from the RP-2014 Combined Healthy Generational Mortality Table with project scale MP-2014. The UAAL is being amortized as a level percentage amount for an open period over 30 years.

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### **Note 7. Pension and Retirement Benefits**

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at [www.ipers.org](http://www.ipers.org).

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. (These qualifications must be met on the member's first month of entitlement to benefits.) Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier (based on years of service).
- The member's highest five-year average salary. (For members with service before June 30, 2012, the highest three-year average salary as of that date will be used if it is greater than the highest five-year average salary.)

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.



## Muscatine Community School District

### Notes to Basic Financial Statements

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#### Note 7. Pension and Retirement Benefits (Continued)

Contributions – Effective July 1, 2012, as a result of a 2010 law change, the contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The Actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2015, pursuant to the required rate, Regular members contributed 5.95 percent of pay and the District contributed 8.93 percent for a total rate of 14.88 percent. The District's contributions to IPERS for the year ended June 30, 2015 were \$3,028,325.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2015, the District reported a liability of \$19,973,711 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2014, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date.

The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2014, the District's proportion was .493533 percent, which was a decrease of .003064 from its proportion measured as of June 30, 2013.

For the year ended June 30, 2015, the District recognized pension expense of \$1,461,485. At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

|                                                                                                                  | Deferred Outflows<br>of Resources | Deferred Inflows<br>of Resources |
|------------------------------------------------------------------------------------------------------------------|-----------------------------------|----------------------------------|
| Differences between expected and actual experience                                                               | \$ 217,075                        | \$ -                             |
| Changes of assumptions                                                                                           | 881,485                           | -                                |
| Net difference between projected and actual earnings<br>on pension plan investments                              | -                                 | 7,617,398                        |
| Changes in proportion and differences between District<br>contributions and proportionate share of contributions | -                                 | 143,364                          |
| District contributions subsequent to the measurement date                                                        | 3,028,325                         | -                                |
| Total                                                                                                            | <u>\$ 4,126,885</u>               | <u>\$ 7,760,762</u>              |

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### Note 7. Pension and Retirement Benefits (Continued)

\$3,028,325 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

| Year Ended June 30, |                       |
|---------------------|-----------------------|
| 2016                | \$ (1,681,173)        |
| 2017                | (1,681,173)           |
| 2018                | (1,681,173)           |
| 2019                | (1,681,173)           |
| 2020                | 62,490                |
| Total               | <u>\$ (6,662,202)</u> |

Actuarial Assumptions – The total pension liability in the June 30, 2014 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

|                                                     |                                                                                                           |
|-----------------------------------------------------|-----------------------------------------------------------------------------------------------------------|
| Rate of Inflation (effective June 30, 2014)         | 3.00 percent                                                                                              |
| Salary Increases (effective June 30, 2014)          | 4.00 percent, average, including inflation                                                                |
| Investment rate of return (effective June 30, 1996) | 7.50 percent per annum, compounded annually, net of pension plan, investment expense, including inflation |

The actuarial assumptions used in the June 30, 2014 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above. Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

# Muscatine Community School District

## Notes to Basic Financial Statements

### Note 7. Pension and Retirement Benefits (Continued)

| Asset Class            | Asset Allocation | Long-Term<br>Expected Real<br>Rate of Return |
|------------------------|------------------|----------------------------------------------|
| US Equity              | 23%              | 6.31%                                        |
| Non US Equity          | 15%              | 6.76%                                        |
| Private Equity         | 13%              | 11.34%                                       |
| Real Estate            | 8%               | 3.52%                                        |
| Core Plus Fixed Income | 28%              | 2.06%                                        |
| Credit Opportunities   | 5%               | 3.67%                                        |
| TIPS                   | 5%               | 1.92%                                        |
| Other Real Assets      | 2%               | 6.27%                                        |
| Cash                   | 1%               | -0.69%                                       |
| Total                  | 100%             |                                              |

**Discount Rate** – The discount rate used to measure the total pension liability was 7.5 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan’s fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

**Sensitivity of the District’s Proportionate Share of the Net Pension Liability to Changes in the Discount Rate** – The following presents the District’s proportionate share of the net pension liability calculated using the discount rate of 7.5 percent, as well as what the District’s proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.5 percent) or 1-percentage-point higher (8.5 percent) than the current rate.

|                                                             | 1%<br>Decrease<br>(6.5%) | Discount<br>Rate<br>(7.5%) | 1%<br>Increase<br>(8.5%) |
|-------------------------------------------------------------|--------------------------|----------------------------|--------------------------|
| District's proportionate share of the net pension liability | \$ 37,739,765            | \$ 19,973,710              | \$ 4,977,320             |

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### Note 7. Pension and Retirement Benefits (Continued)

Pension Plan Fiduciary Net Position – Detailed information about the pension plan’s fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS’ website at [www.ipers.org](http://www.ipers.org).

Payables to the Pension Plan – At June 30, 2015, the District reported payables to the defined benefit pension plan of \$30,965 for legally required employer contributions and \$9,766 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

#### Note 8. Risk Management

Muscatine Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

#### Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District’s actual amount for this purpose totaled \$2,207,805 for the year ended June 30, 2015 and is recorded in the General Fund.

#### Note 10. Categorical Funding

The District’s fund balance restricted for categorical funding as of June 30, 2015 is comprised of the following programs:

| Program                                    | Amount              |
|--------------------------------------------|---------------------|
| Home school assistance program             | \$ 59,348           |
| At-risk programs                           | 63,744              |
| Talented and gifted                        | 246,782             |
| Dropout prevention                         | 376,597             |
| Four-year-old preschool                    | 151,472             |
| Teacher salary supplement                  | 222,731             |
| Empowerment professional development       | 335                 |
| Successful progression for early readers   | 72,999              |
| Teacher leadership and compensation system | 457,516             |
| Professional development                   | 20,987              |
| <b>Total</b>                               | <b>\$ 1,672,511</b> |

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### **Note 11. Commitments**

The District has entered into various contracts totaling \$20,204,722 for West Middle School, Jefferson Elementary School, Muscatine High School gym entrance and pool parking lot, and other Muscatine High School construction. As of June 30, 2015, costs of \$18,730,397 had been incurred against the contracts. The balance of \$1,474,325 remaining as of June 30, 2015 will be paid as work on the projects progress.

The Foundation has awarded scholarships as of December 31, 2014 of \$307,100 that have not yet been claimed. These unclaimed scholarships constitute a commitment.

#### **Note 12. 28E Agreement**

The District participates in a Chapter 28E agreement with Muscatine Agricultural Learning Center, the Friends of the Muscatine FFA and Eastern Iowa Community College. The agreement is to remain in effect for a minimum period of ten years. In the event the Muscatine Agricultural Learning Center is dissolved, there is a plan to split the remaining balance and assets owned between the three partners in the agreement.

In accordance with the agreement, the Muscatine Agricultural Learning Center is to own and operate the facility to provide educational opportunities for students of Eastern Iowa Community College and the Muscatine Community School District. The Friends of the Muscatine FFA intend to obtain financial support for the construction of the facility and have shared advisory and governance responsibilities with the other members of the agreement. Eastern Iowa Community College and the Muscatine Community School District will provide funds for the construction of the facility as well as be a program and tenant partner of the learning center.

#### **Note 13. Governmental Accounting Standards Board (GASB)**

The District adopted the following statements during the year ended June 30, 2015:

GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*, issued June 2012. This Statement revises and establishes new financial reporting requirements for most governments that provide their employees with pension benefits. Statement No. 68 replaces the requirements of Statement No. 27, *Accounting for Pensions by State and Local Governmental Employers* and Statement No. 50, *Pension Disclosures*, as they relate to governments that provide pensions through pension plans administered as trusts or similar arrangements that meet certain criteria. Statement No. 68 requires governments providing defined benefit pensions to recognize their long-term obligation for pension benefits as a liability for the first time, and to more comprehensively and comparably measure the annual costs of pension benefits. The Statement also enhances accountability and transparency through revised and new note disclosures and required supplementary information (RSI).

GASB Statement No. 69, *Government Combinations and Disposals of Government Operations*, issued January 2013. This Statement establishes accounting and financial reporting standards related to government combinations and disposals of government operations. As used in this Statement, the term *government combinations* includes a variety of transactions referred to as mergers, acquisitions, and transfers of operations.

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### **Note 13. Governmental Accounting Standards Board (GASB) (Continued)**

GASB Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date-An Amendment of GASB Statement No. 68*, issued November 2013. This Statement amends GASB Statement No. 68 to require that, at transition, a government recognize a beginning deferred outflow of resources for its pension contributions, if any, made subsequent to the measurement date of the beginning net pension liability. Statement No. 68, as amended, continues to require that beginning balances for other deferred outflows of resources and deferred inflows of resources related to pensions be reported at transition only if it is practical to determine all such amounts.

The implementation of the above statements did not have a material impact to the District's financial statements except for GASB Statement No. 68 and No. 71 which required the District to change the accounting and reporting of pension expense, net pension liability, and the related deferred inflows of resources and deferred outflows of resources. As a result, the District's financial statements required a restatement as stated in Note 14. In addition, the new standards required new required supplementary information schedules.

As of June 30, 2015, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 72, *Fair Value Measurement and Application*, issued February 2015, will be effective for the District beginning with its year ending June 30, 2016. This Statement addresses accounting and financial reporting issues related to fair value measurements. The definition of *fair value* is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This Statement provides guidance for determining a fair value measurement for financial reporting purposes. This Statement also provides guidance for applying fair value to certain investments and disclosures related to all fair value measurements.

GASB Statement No. 73, *Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement 68, and Amendments to Certain Provisions of GASB Statements 67 and 68*, issued June 2015, will be effective for the District beginning with its year ending June 30, 2016. This Statement establishes requirements for defined benefit pensions that are not within the scope of Statement No. 68, *Accounting and Financial Reporting for Pensions*, as well as for the assets accumulated for purposes of providing those pensions. In addition, it establishes requirements for defined contribution pensions that are not within the scope of Statement 68. It also amends certain provisions of Statement No. 67, *Financial Reporting for Pension Plans*, and Statement 68 for pension plans and pensions that are within their respective scopes.

## Muscatine Community School District

### Notes to Basic Financial Statements

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#### **Note 13. Governmental Accounting Standards Board (GASB) (Continued)**

GASB Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, issued June 2015, will be effective for the District beginning with its year ending June 30, 2017. This Statement replaces Statements No. 43, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*. It also includes requirements for defined contribution OPEB plans that replace the requirements for those OPEB plans in Statement No. 25, *Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans*, as amended, Statement 43, and Statement No. 50, *Pension Disclosures*.

GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, issued June 2015, will be effective for the District beginning with its year ending June 30, 2018. This Statement replaces the requirements of Statements No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*, for OPEB. Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans. The scope of this Statement addresses accounting and financial reporting for OPEB that is provided to the employees of state and local governmental employers. This Statement establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. For defined benefit OPEB, this Statement identifies the methods and assumptions that are required to be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. Note disclosure and required supplementary information requirements about defined benefit OPEB also are addressed.

GASB Statement No. 76, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*, issued June 2015, will be effective for the District beginning with its year ending June 30, 2016. The objective of this Statement is to identify—in the context of the current governmental financial reporting environment—the hierarchy of generally accepted accounting principles (GAAP). The “GAAP hierarchy” consists of the sources of accounting principles used to prepare financial statements of state and local governmental entities in conformity with GAAP and the framework for selecting those principles. This Statement reduces the GAAP hierarchy to two categories of authoritative GAAP and addresses the use of authoritative and nonauthoritative literature in the event that the accounting treatment for a transaction or other event is not specified within a source of authoritative GAAP.

The District’s management has not yet determined the effect these GASB Statements will have on the District’s financial statements.

## Muscatine Community School District

### Notes to Basic Financial Statements

#### Note 14. Accounting Change and Restatement

Governmental Accounting Standards Board Statement No. 68, *Accounting and Financial Reporting for Pensions-an Amendment of GASB No. 27*, was implemented during fiscal year 2015. The revised requirements establish new financial reporting requirements for state and local governments which provide their employees with pension benefits, including additional note disclosures and required supplementary information. In addition, GASB 68 requires a state or local government employer to recognize a net pension liability and changes in the net pension liability, deferred outflows of resources and deferred inflows of resources which arise from other types of events related to pensions. During the transition year, as permitted, beginning balances for deferred outflows of resources and deferred inflows of resources will not be reported, except for deferred outflows of resources related to contributions made after the measurement date of the beginning net pension liability which is required to be reported by Governmental Accounting Standards Board Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date*. Beginning net position for governmental and business-type activities were restated to retroactively report the beginning net pension liability and deferred outflows of resources related to contributions made after the measurement date, as follows:

|                                                                                                             | Governmental<br>Activities | Business-type<br>Activities | Nonmajor<br>Enterprise<br>Funds<br>School<br>Nutrition |
|-------------------------------------------------------------------------------------------------------------|----------------------------|-----------------------------|--------------------------------------------------------|
| Net position June 30, 2014, as previously reported                                                          | \$ 52,730,852              | \$ 383,099                  | \$ 383,099                                             |
| Net pension liability at June 30, 2014                                                                      | (27,232,511)               | (884,853)                   | (884,853)                                              |
| Deferred outflows of resources related to<br>contributions made after the June 30, 2013<br>measurement date | 2,850,333                  | 92,615                      | 92,615                                                 |
| Early retirement liability                                                                                  | (2,285,621)                | -                           | -                                                      |
| Net position July 1, 2014, as restated                                                                      | <u>\$ 26,063,053</u>       | <u>\$ (409,139)</u>         | <u>\$ (409,139)</u>                                    |

In addition to the new accounting standards, the District also restated governmental activities net position to decrease net position \$2,285,621 for the early retirement liability as of July 1, 2014.

The Foundation restated the December 31, 2013 net position \$16,025 to record accounts payable due as of December 31, 2013. In addition, the Foundation changed its financial reporting model based as required by the AICPA based on the nature of the organization to the District.



**Muscatine Community School District**

**Required Supplementary Information**

**Schedule of Funding Progress for the Retiree Health Plan**

**Year Ended June 30, 2015**

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| Year<br>Ended<br>June 30: | Actuarial<br>Valuation<br>Date | Actuarial Value<br>of Assets<br>(a) | Actuarial Accrued<br>Liability (AAL)<br>(b) | Unfunded<br>AAL (UAAL)<br>(b-a) | Funded<br>Ratio<br>(a/b) | Covered<br>Payroll<br>( c ) | UAAL as a Percentage<br>of Covered Payroll<br>((b-a)/c) |
|---------------------------|--------------------------------|-------------------------------------|---------------------------------------------|---------------------------------|--------------------------|-----------------------------|---------------------------------------------------------|
| 2009                      | 7/1/2008                       | \$ -                                | \$ 8,933                                    | \$ 8,933                        | 0.00%                    | \$ 23,974                   | 37.26%                                                  |
| 2010                      | 7/1/2008                       | -                                   | 8,933                                       | 8,933                           | 0.00%                    | 25,857                      | 34.55%                                                  |
| 2011                      | 7/1/2010                       | -                                   | 9,255                                       | 9,255                           | 0.00%                    | 24,900                      | 37.17%                                                  |
| 2012                      | 7/1/2010                       | -                                   | 9,255                                       | 9,255                           | 0.00%                    | 25,504                      | 36.29%                                                  |
| 2013                      | 7/1/2012                       | -                                   | 17,409                                      | 17,409                          | 0.00%                    | 26,573                      | 65.51%                                                  |
| 2014                      | 7/1/2012                       | -                                   | 17,409                                      | 17,409                          | 0.00%                    | 22,079                      | 78.85%                                                  |
| 2015                      | 7/1/2014                       | -                                   | 9,033                                       | 9,033                           | 0.00%                    | 30,253                      | 29.86%                                                  |

See Note 6 in the accompanying notes to financial statements for the plan description, funding policy, annual OPEB cost and net OPEB obligation, funded status and funding progress.

Note: Amounts reported in thousands.

**Muscatine Community School District**

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -  
Budget and Actual - All Governmental Funds and Enterprise Fund  
Required Supplementary Information  
Year Ended June 30, 2015**

|                                                                               | Governmental<br>Funds - Actual | Enterprise<br>Fund - Actual |
|-------------------------------------------------------------------------------|--------------------------------|-----------------------------|
| Revenues:                                                                     |                                |                             |
| Local sources                                                                 | \$ 20,477,080                  | \$ 894,400                  |
| State sources                                                                 | 42,383,472                     | 22,306                      |
| Federal sources                                                               | 2,430,675                      | 1,834,749                   |
| <b>Total revenues</b>                                                         | <b>65,291,227</b>              | <b>2,751,455</b>            |
| Expenditures/expenses:                                                        |                                |                             |
| Instruction                                                                   | 37,509,233                     | -                           |
| Support services                                                              | 16,463,185                     | 54,450                      |
| Noninstructional programs                                                     | 62,880                         | 2,650,030                   |
| Other expenditures                                                            | 12,434,783                     | -                           |
| <b>Total expenditures/expenses</b>                                            | <b>66,470,081</b>              | <b>2,704,480</b>            |
| <b>Excess (deficiency) of revenues over<br/>(under) expenditures/expenses</b> | <b>(1,178,854)</b>             | <b>46,975</b>               |
| Other financing sources (uses):                                               |                                |                             |
| Proceeds from sale of capital assets                                          | 5,504                          | -                           |
| Interfund transfers in                                                        | 617,967                        | -                           |
| Interfund transfers out                                                       | (617,967)                      | -                           |
| <b>Total other financing sources (uses)</b>                                   | <b>5,504</b>                   | <b>-</b>                    |
| <b>Net change in fund balance</b>                                             | <b>(1,173,350)</b>             | <b>46,975</b>               |
| Fund Balance, beginning of year                                               | 13,620,328                     | (409,139)                   |
| Fund Balance, end of year                                                     | <b>\$ 12,446,978</b>           | <b>\$ (362,164)</b>         |

See Note to Required Supplementary Information-Budgetary Reporting.

| Total Actual  | Budgeted Amounts |               | Final to Actual |  |
|---------------|------------------|---------------|-----------------|--|
|               | Original         | Final         | Variance        |  |
| \$ 21,371,480 | \$ 25,116,250    | \$ 25,116,250 | \$ (3,744,770)  |  |
| 42,405,778    | 37,245,176       | 37,245,176    | 5,160,602       |  |
| 4,265,424     | 4,390,023        | 4,390,023     | (124,599)       |  |
| 68,042,682    | 66,751,449       | 66,751,449    | 1,291,233       |  |
| 37,509,233    | 39,529,697       | 39,529,697    | 2,020,464       |  |
| 16,517,635    | 16,313,276       | 16,313,276    | (204,359)       |  |
| 2,712,910     | 3,014,090        | 3,014,090     | 301,180         |  |
| 12,434,783    | 11,544,823       | 11,544,823    | (889,960)       |  |
| 69,174,561    | 70,401,886       | 70,401,886    | 1,227,325       |  |
| (1,131,879)   | (3,650,437)      | (3,650,437)   | 2,518,558       |  |
| 5,504         | 1,000            | 1,000         | 4,504           |  |
| 617,967       | 617,967          | 617,967       | -               |  |
| (617,967)     | (617,967)        | (617,967)     | -               |  |
| 5,504         | 1,000            | 1,000         | 4,504           |  |
| (1,126,375)   | (3,649,437)      | (3,649,437)   | 2,523,062       |  |
| 13,211,189    | 13,211,189       | 13,211,189    | -               |  |
| \$ 12,084,814 | \$ 9,561,752     | \$ 9,561,752  | \$ 2,523,062    |  |

## **Muscatine Community School District**

### **Note to Required Supplementary Information – Budgetary Reporting**

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This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except private-purpose trust and agency funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the accrual basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula.

During the year ended June 30, 2015, expenditures exceeded the amounts budgeted in the support services and other expenditures functions.

**Muscatine Community School District**

**Required Supplementary Information**

**Schedule of the District's Proportionate Share of the Net Pension Liability**

**Iowa Public Employees' Retirement System**

**Last Fiscal Year\***

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|                                                                                                             |               |
|-------------------------------------------------------------------------------------------------------------|---------------|
|                                                                                                             | 2015          |
| District's proportion of the net pension liability                                                          | 0.493533%     |
| District's proportionate share of the net pension liability                                                 | \$ 19,973,710 |
| District's covered-employee payroll                                                                         | \$ 33,911,814 |
| District's proportionate share of the net pension liability as a percentage of its covered-employee payroll | 58.90%        |
| Plan fiduciary net pension as a percentage of the total pension liability                                   | 87.61%        |

\* The amounts presented for each fiscal year were determined as of June 30.

**Note 1:** GASB Statement No. 68 requires ten years of information to be presented in this table. However, until a full 10-year trend is compiled, the District will present information for those years for which information is available.

See Note to Required Supplementary Information-Pension Liability

**Muscatine Community School District**

**Required Supplementary Information**

**Schedule of District Contributions (in Thousands)**

**Iowa Public Employees' Retirement System**

**Last Ten Fiscal Years**

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|                                                                       | 2015       | 2014       | 2013       | 2012       |
|-----------------------------------------------------------------------|------------|------------|------------|------------|
| Statutorily required contribution                                     | \$ 3,028   | \$ 2,943   | \$ 2,784   | \$ 2,602   |
| Contributions in relation to the<br>statutorily required contribution | \$ (3,028) | \$ (2,943) | \$ (2,784) | \$ (2,602) |
| Contribution deficiency (excess)                                      | \$ -       | \$ -       | \$ -       | \$ -       |
| District's covered-employee<br>payroll                                | \$ 33,912  | \$ 32,956  | \$ 32,111  | \$ 32,243  |
| Contributions as a percentage of<br>covered-employee payroll          | 8.93%      | 8.93%      | 8.67%      | 8.07%      |

See Note to Required Supplementary Information-Pension Liability.

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| 2011       | 2010       | 2009       | 2008       | 2007       | 2006       |
|------------|------------|------------|------------|------------|------------|
| \$ 2,081   | \$ 2,088   | \$ 1,954   | \$ 1,731   | \$ 1,599   | \$ 1,545   |
| \$ (2,081) | \$ (2,088) | \$ (1,954) | \$ (1,731) | \$ (1,599) | \$ (1,545) |
| \$ -       | \$ -       | \$ -       | \$ -       | \$ -       | \$ -       |
| \$ 29,942  | \$ 31,398  | \$ 30,772  | \$ 28,612  | \$ 27,809  | \$ 26,870  |
| 6.95%      | 6.65%      | 6.35%      | 6.05%      | 5.75%      | 5.75%      |

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## Muscatine Community School District

### Note to Required Supplementary Information – Pension Liability

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Changes of benefit terms: Legislation passed in 2010 modified benefit terms for current Regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3 percent per year measured from the member's first unreduced retirement age to a 6 percent reduction for each year of retirement before age 65. In 2008, legislative action transferred four groups – emergency medical service providers, county jailors, county attorney investigators, and National Guard installation security officers – from Regular membership to the protection occupation group for future service only.

Benefit provisions for sheriffs and deputies were changed in the 2004 legislative session. The eligibility for unreduced retirement benefits was lowered from age 55 by one year each July 1 (beginning in 2004) until it reached age 50 on July 1, 2008. The years of service requirement remained at 22 or more. Their contribution rates were also changed to be shared 50-50 by the employee and employer, instead of the previous 40-60 split.

#### Changes of assumptions:

The 2014 valuation implemented the following refinements as a result of quadrennial experience study:

- Decreased the inflation assumption from 3.25 percent to 3.00 percent.
- Decreased the assumed rate of interest on member accounts from 4.00 percent to 3.75 percent per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30 year amortization period to a closed 30 year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20 year period.

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

The 2007 valuation adjusted the application of the entry age normal cost method to better match projected contributions to the projected salary stream in the future years. It also included in the calculation of the UAL amortization payments the one-year leg between the valuation date and the effective date of the annual actuarial contribution rate. The 2006 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted salary increase assumptions to service based assumptions.
- Decreased the assumed interest rate credited on employee contributions from 4.25 percent to 4.00 percent.
- Lowered the inflation assumption from 3.50 percent to 3.25 percent.
- Lowered disability rates for sheriffs and deputies and protection occupation members.

**Muscatine Community School District**

**Combining Balance Sheet  
Nonmajor Governmental Funds  
June 30, 2015**

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|                                                                                   | <u>Management<br/>Levy</u> |
|-----------------------------------------------------------------------------------|----------------------------|
| <b>Assets</b>                                                                     |                            |
| Cash and pooled investments                                                       | \$ 893,454                 |
| Receivables:                                                                      |                            |
| Property tax:                                                                     |                            |
| Current year                                                                      | 13,773                     |
| Succeeding year                                                                   | 1,249,997                  |
| Accounts                                                                          | -                          |
| <b>Total assets</b>                                                               | <u><u>\$ 2,157,224</u></u> |
| <br><b>Liabilities, Deferred Inflows of Resources,<br/>and Fund Balances</b>      |                            |
| Liabilities:                                                                      |                            |
| Accounts payable                                                                  | <u>\$ -</u>                |
| <b>Total liabilities</b>                                                          | <u>-</u>                   |
| <br>Deferred inflows of resources,                                                |                            |
| Unavailable revenue-succeeding<br>year property tax                               | <u>1,249,997</u>           |
| <br>Fund balances:                                                                |                            |
| Restricted                                                                        | <u>907,227</u>             |
| <b>Total fund balances</b>                                                        | <u>907,227</u>             |
| <br><b>Total liabilities, deferred inflows<br/>of resources and fund balances</b> | <u><u>\$ 2,157,224</u></u> |

| Special Revenue |           |              |         |              |  |
|-----------------|-----------|--------------|---------|--------------|--|
| Student         | Support   |              | Debt    |              |  |
| Activity        | Trust     | Total        | Service | Total        |  |
| \$ 414,492      | \$ 53,457 | \$ 1,361,403 | \$ -    | \$ 1,361,403 |  |
| -               | -         | 13,773       | -       | 13,773       |  |
| -               | -         | 1,249,997    | -       | 1,249,997    |  |
| 18,077          | -         | 18,077       | -       | 18,077       |  |
| \$ 432,569      | \$ 53,457 | \$ 2,643,250 | \$ -    | \$ 2,643,250 |  |
|                 |           |              |         |              |  |
| \$ 13,651       | \$ -      | \$ 13,651    | \$ -    | \$ 13,651    |  |
| 13,651          | -         | 13,651       | -       | 13,651       |  |
|                 |           |              |         |              |  |
| -               | -         | 1,249,997    | -       | 1,249,997    |  |
|                 |           |              |         |              |  |
| 418,918         | 53,457    | 1,379,602    | -       | 1,379,602    |  |
| 418,918         | 53,457    | 1,379,602    | -       | 1,379,602    |  |
|                 |           |              |         |              |  |
| \$ 432,569      | \$ 53,457 | \$ 2,643,250 | \$ -    | \$ 2,643,250 |  |

**Muscatine Community School District**

**Combining Schedule of Revenues, Expenditures and Changes in Fund Balances**

**Nonmajor Governmental Funds**

**Year Ended June 30, 2015**

|                                                | Management<br>Levy |
|------------------------------------------------|--------------------|
| Revenues:                                      |                    |
| Local sources:                                 |                    |
| Local tax                                      | \$ 1,237,006       |
| Other                                          | 17,423             |
| State sources                                  | 41,653             |
| State sources                                  | 7,290              |
| <b>Total revenues</b>                          | <b>1,303,372</b>   |
| Expenditures:                                  |                    |
| Current:                                       |                    |
| Instruction                                    | 791,715            |
| Support services:                              |                    |
| Student services                               | 20,259             |
| Instructional staff services                   | 1,703              |
| Administration services                        | 41,069             |
| Operation and maintenance<br>of plant services | 365,974            |
| Transportation services                        | 84,448             |
| Noninstructional programs                      | 62,880             |
| Debt Service:                                  |                    |
| Principal                                      | -                  |
| Interest                                       | -                  |
| <b>Total expenditures</b>                      | <b>1,368,048</b>   |
| Other financing sources (uses),                |                    |
| Transfers in                                   | -                  |
| <b>Net change in fund balances</b>             | <b>(64,676)</b>    |
| Fund balances, beginning of year               | 971,903            |
| Fund balances, end of year                     | \$ 907,227         |

| Special Revenue |           |              |         |              |  |
|-----------------|-----------|--------------|---------|--------------|--|
| Student         |           |              | Debt    |              |  |
| Activity        | Trust     | Total        | Service | Total        |  |
| \$ -            | \$ -      | \$ 1,237,006 | \$ -    | \$ 1,237,006 |  |
| 577,365         | 6         | 594,794      | -       | 594,794      |  |
| -               | -         | 41,653       | -       | 41,653       |  |
| -               | -         | 7,290        | -       | 7,290        |  |
| 577,365         | 6         | 1,880,743    | -       | 1,880,743    |  |
| 576,115         | 5,898     | 1,373,728    | -       | 1,373,728    |  |
| -               | -         | 20,259       | -       | 20,259       |  |
| -               | 1,878     | 3,581        | -       | 3,581        |  |
| -               | -         | 41,069       | -       | 41,069       |  |
| -               | -         | 365,974      | -       | 365,974      |  |
| -               | -         | 84,448       | -       | 84,448       |  |
| -               | -         | 62,880       | -       | 62,880       |  |
| -               | -         | -            | 607,138 | 607,138      |  |
| -               | -         | -            | 10,829  | 10,829       |  |
| 576,115         | 7,776     | 1,951,939    | 617,967 | 2,569,906    |  |
| -               | -         | -            | 617,967 | 617,967      |  |
| 1,250           | (7,770)   | (71,196)     | -       | (71,196)     |  |
| 417,668         | 61,227    | 1,450,798    | -       | 1,450,798    |  |
| \$ 418,918      | \$ 53,457 | \$ 1,379,602 | \$ -    | \$ 1,379,602 |  |

**Muscatine Community School District**

**Schedule of Combining Balance Sheet  
Capital Project Fund - By Account  
June 30, 2015**

|                                                                      | Capital Projects Accounts                   |                                            |                     |
|----------------------------------------------------------------------|---------------------------------------------|--------------------------------------------|---------------------|
|                                                                      | Statewide<br>Sales, Services<br>and Use Tax | Physical<br>Plant and<br>Equipment<br>Levy | Total               |
| <b>Assets</b>                                                        |                                             |                                            |                     |
| Cash and pooled investments                                          | \$ 942,469                                  | \$ 819,377                                 | \$ 1,761,846        |
| Receivables:                                                         |                                             |                                            |                     |
| Property tax:                                                        |                                             |                                            |                     |
| Current year                                                         | -                                           | 16,200                                     | 16,200              |
| Succeeding year                                                      | -                                           | 1,774,951                                  | 1,774,951           |
| Due from other governments                                           | 1,052,821                                   | -                                          | 1,052,821           |
| <b>Total assets</b>                                                  | <b>\$ 1,995,290</b>                         | <b>\$ 2,610,528</b>                        | <b>\$ 4,605,818</b> |
| <b>Liabilities, Deferred Inflows of Resources, and Fund Balances</b> |                                             |                                            |                     |
| Liabilities:                                                         |                                             |                                            |                     |
| Accounts payable                                                     | 432,877                                     | 3,375                                      | 436,252             |
| Retainage payable                                                    | 509,934                                     | -                                          | 509,934             |
| <b>Total liabilities</b>                                             | <b>942,811</b>                              | <b>3,375</b>                               | <b>946,186</b>      |
| Deferred Inflows of Resources:                                       |                                             |                                            |                     |
| Unavailable revenue-succeeding year property tax                     | -                                           | 1,774,951                                  | 1,774,951           |
| Unavailable revenue-statewide sales and services tax                 | 266,692                                     | -                                          | 266,692             |
| <b>Total deferred inflows of resources</b>                           | <b>266,692</b>                              | <b>1,774,951</b>                           | <b>2,041,643</b>    |
| Fund Balances:                                                       |                                             |                                            |                     |
| Restricted for:                                                      |                                             |                                            |                     |
| Physical plant and equipment                                         | -                                           | 832,202                                    | 832,202             |
| School infrastructure                                                | 785,787                                     | -                                          | 785,787             |
| <b>Total fund balances</b>                                           | <b>785,787</b>                              | <b>832,202</b>                             | <b>1,617,989</b>    |
| <b>Total liabilities and fund balances</b>                           | <b>\$ 1,995,290</b>                         | <b>\$ 2,610,528</b>                        | <b>\$ 4,605,818</b> |

**Muscatine Community School District**

**Schedule of Combining Statement of Revenues, Expenditures and Changes in Fund Balances**

**Capital Project Fund - By Account**

**Year Ended June 30, 2015**

|                                                                      | Capital Projects Accounts                   |                                            |                    |
|----------------------------------------------------------------------|---------------------------------------------|--------------------------------------------|--------------------|
|                                                                      | Statewide<br>Sales, Services<br>and Use Tax | Physical<br>Plant and<br>Equipment<br>Levy | Total              |
| Revenues:                                                            |                                             |                                            |                    |
| Local sources:                                                       |                                             |                                            |                    |
| Local tax                                                            | \$ -                                        | \$ 1,489,958                               | \$ 1,489,958       |
| Other                                                                | 6,918                                       | 1,587                                      | 8,505              |
| State sources                                                        | 5,067,154                                   | 48,841                                     | 5,115,995          |
| Federal sources                                                      | -                                           | 8,548                                      | 8,548              |
| <b>Total revenues</b>                                                | <b>5,074,072</b>                            | <b>1,548,934</b>                           | <b>6,623,006</b>   |
| Expenditures:                                                        |                                             |                                            |                    |
| Current:                                                             |                                             |                                            |                    |
| Support services:                                                    |                                             |                                            |                    |
| Instructional staff services                                         | -                                           | 8,177                                      | 8,177              |
| Administration services                                              | -                                           | 368,496                                    | 368,496            |
| Operation and maintenance of plant services                          | -                                           | 23,226                                     | 23,226             |
| Transportation services                                              | -                                           | 263,367                                    | 263,367            |
| Capital outlay, facilities acquisition                               | 9,448,145                                   | 160,866                                    | 9,609,011          |
| <b>Total expenditures</b>                                            | <b>9,448,145</b>                            | <b>824,132</b>                             | <b>10,272,277</b>  |
| <b>Excess (deficiency) of revenues over<br/>(under) expenditures</b> | <b>(4,374,073)</b>                          | <b>724,802</b>                             | <b>(3,649,271)</b> |
| Other financing sources (uses):                                      |                                             |                                            |                    |
| Transfers out                                                        | -                                           | (617,967)                                  | (617,967)          |
| <b>Total other financing sources (uses)</b>                          | <b>-</b>                                    | <b>(617,967)</b>                           | <b>(617,967)</b>   |
| <b>Net change in fund balance</b>                                    | <b>(4,374,073)</b>                          | <b>106,835</b>                             | <b>(4,267,238)</b> |
| Fund balance, beginning of year                                      | 5,159,860                                   | 725,367                                    | 5,885,227          |
| Fund balance, end of year                                            | \$ 785,787                                  | \$ 832,202                                 | \$ 1,617,989       |

**Muscatine Community School District**

**Schedule of Combining Statement of Fiduciary Net Position**

**Private Purpose Trust Fund - By Account**

**June 30, 2015**

|                                | Private Purpose Trust Accounts                |                                  |                                          |                   |
|--------------------------------|-----------------------------------------------|----------------------------------|------------------------------------------|-------------------|
|                                | Bernadette and<br>Paul Rohling<br>Scholarship | Illeen<br>Rohling<br>Scholarship | Jefferson<br>Culture Fair<br>Scholarship | Total             |
| <b>Assets:</b>                 |                                               |                                  |                                          |                   |
| Cash and pooled investments    | \$ 118,380                                    | \$ 46,763                        | \$ 1,551                                 | \$ 166,694        |
| <b>Total assets</b>            | <u>\$ 118,380</u>                             | <u>\$ 46,763</u>                 | <u>\$ 1,551</u>                          | <u>\$ 166,694</u> |
| <b>Net Position</b>            |                                               |                                  |                                          |                   |
| Restricted for<br>scholarships | <u>\$ 118,380</u>                             | <u>\$ 46,763</u>                 | <u>\$ 1,551</u>                          | <u>\$ 166,694</u> |



**Muscatine Community School District**

**Schedule of Combining Statement of Changes in Fiduciary Net Position**

**Private Purpose Trust Fund - By Account**

**Year Ended June 30, 2015**

|                                      | Private Purpose Trust Accounts                |                                  |                                          |               |
|--------------------------------------|-----------------------------------------------|----------------------------------|------------------------------------------|---------------|
|                                      | Bernadette and<br>Paul Rohling<br>Scholarship | Illeen<br>Rohling<br>Scholarship | Jefferson<br>Culture Fair<br>Scholarship | Total         |
| Additions:                           |                                               |                                  |                                          |               |
| Local sources, other:                |                                               |                                  |                                          |               |
| Interest                             | \$ 23,002                                     | \$ 24                            | \$ -                                     | \$ 23,026     |
| Contributions                        | -                                             | -                                | -                                        | -             |
| <b>Total additions</b>               | <b>23,002</b>                                 | <b>24</b>                        | <b>-</b>                                 | <b>23,026</b> |
| Deductions, current,                 |                                               |                                  |                                          |               |
| Instruction,<br>scholarships awarded | 5,000                                         | 3,000                            | -                                        | 8,000         |
| <b>Net change in net position</b>    | <b>18,002</b>                                 | <b>(2,976)</b>                   | <b>-</b>                                 | <b>15,026</b> |
| Net Position, beginning of year      | 100,378                                       | 49,739                           | 1,551                                    | 151,668       |
| Net Position, end of year            | \$ 118,380                                    | \$ 46,763                        | \$ 1,551                                 | \$ 166,694    |

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**Muscatine Community School District**

**Schedule of Changes in Fiduciary Assets and Liabilities**

**Agency Fund**

**Year Ended June 30, 2015**

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|                             | Balance<br>Beginning<br>of Year | Additions  | Deductions | Balance<br>End<br>of Year |
|-----------------------------|---------------------------------|------------|------------|---------------------------|
| <b>Assets</b>               |                                 |            |            |                           |
| Cash and pooled investments | \$ 11,964                       | \$ 633,857 | \$ 643,683 | \$ 2,138                  |
| <b>Liabilities</b>          |                                 |            |            |                           |
| Due to other groups         | \$ 11,964                       | \$ 633,857 | \$ 643,683 | \$ 2,138                  |

# Muscatine Community School District

## Schedule of Revenues by Source and Expenditures by Function

### All Governmental Funds - Modified Accrual Basis

#### Last Ten Years

|                                             | Years Ended June 30: |                      |                      |                      |
|---------------------------------------------|----------------------|----------------------|----------------------|----------------------|
|                                             | 2015                 | 2014                 | 2013                 | 2012                 |
| Revenues:                                   |                      |                      |                      |                      |
| Local sources:                              |                      |                      |                      |                      |
| Local tax                                   | \$ 18,628,986        | \$ 18,320,746        | \$ 22,530,785        | \$ 20,665,245        |
| Tuition                                     | 530,347              | 583,016              | 621,193              | 789,295              |
| Other                                       | 1,317,747            | 1,412,458            | 1,486,224            | 1,627,100            |
| State sources                               | 42,383,472           | 38,595,124           | 32,010,126           | 32,853,112           |
| Federal sources                             | 2,430,675            | 2,441,180            | 2,120,614            | 3,043,064            |
| <b>Total revenues</b>                       | <b>\$ 65,291,227</b> | <b>\$ 61,352,524</b> | <b>\$ 58,768,942</b> | <b>\$ 58,977,816</b> |
| Expenditures:                               |                      |                      |                      |                      |
| Instruction                                 | \$ 37,509,233        | \$ 36,426,501        | \$ 36,254,296        | \$ 35,679,780        |
| Support services:                           |                      |                      |                      |                      |
| Student services                            | 1,642,590            | 1,641,603            | 1,646,917            | 1,543,182            |
| Instructional staff services                | 1,523,383            | 1,378,893            | 1,281,373            | 3,366,854            |
| Administration services                     | 6,456,225            | 6,340,544            | 6,119,304            | 7,537,234            |
| Operation and maintenance of plant services | 4,928,889            | 5,355,512            | 5,010,283            | 4,869,282            |
| Transportation services                     | 1,912,098            | 1,841,780            | 1,750,580            | 1,685,575            |
| Noninstructional programs                   | 62,880               | 181,691              | 11,404               | 14,007               |
| Other expenditures:                         |                      |                      |                      |                      |
| Facilities acquisition                      | 9,609,011            | 5,030,721            | 7,081,218            | 3,690,720            |
| Long-term debt:                             |                      |                      |                      |                      |
| Principal                                   | 607,138              | 596,507              | 610,484              | -                    |
| Interest and fiscal charges                 | 10,829               | 21,460               | 31,900               | -                    |
| AEA flowthrough                             | 2,207,805            | 2,100,120            | 2,010,185            | 1,998,046            |
| <b>Total expenditures</b>                   | <b>\$ 66,470,081</b> | <b>\$ 60,915,332</b> | <b>\$ 61,807,944</b> | <b>\$ 60,384,680</b> |

| Years Ended June 30: |            |      |            |      |            |      |            |      |            |      |            |
|----------------------|------------|------|------------|------|------------|------|------------|------|------------|------|------------|
| 2011                 |            | 2010 |            | 2009 |            | 2008 |            | 2007 |            | 2006 |            |
| \$                   | 19,333,468 | \$   | 18,712,914 | \$   | 18,488,404 | \$   | 17,842,274 | \$   | 16,956,518 | \$   | 16,861,241 |
|                      | 678,551    |      | 646,617    |      | 634,578    |      | 656,615    |      | 685,601    |      | 627,827    |
|                      | 2,116,315  |      | 1,567,942  |      | 1,961,396  |      | 2,386,934  |      | 2,573,161  |      | 2,680,059  |
|                      | 31,615,441 |      | 27,787,891 |      | 30,363,984 |      | 29,280,415 |      | 27,849,315 |      | 26,377,373 |
|                      | 2,973,055  |      | 4,673,746  |      | 2,099,916  |      | 1,737,646  |      | 1,498,477  |      | 2,879,013  |
| \$                   | 56,716,830 | \$   | 53,389,110 | \$   | 53,548,278 | \$   | 51,903,884 | \$   | 49,563,072 | \$   | 49,425,513 |
|                      |            |      |            |      |            |      |            |      |            |      |            |
| \$                   | 34,300,836 | \$   | 34,695,516 | \$   | 35,249,068 | \$   | 32,721,204 | \$   | 31,014,838 | \$   | 30,865,988 |
|                      | 1,413,771  |      | 1,482,432  |      | 1,459,094  |      | 1,407,202  |      | 1,330,859  |      | 1,312,963  |
|                      | 1,406,839  |      | 1,061,588  |      | 1,092,250  |      | 1,138,973  |      | 975,467    |      | 1,772,001  |
|                      | 6,507,777  |      | 5,724,703  |      | 5,436,431  |      | 5,032,575  |      | 4,647,569  |      | 2,403,324  |
|                      | 4,492,882  |      | 4,185,506  |      | 4,244,947  |      | 4,424,856  |      | 3,781,663  |      | 3,668,441  |
|                      | 1,454,728  |      | 1,467,975  |      | 1,636,008  |      | 1,695,177  |      | 1,420,991  |      | 1,332,785  |
|                      | 20,834     |      | 43,334     |      | 26,418     |      | 41,495     |      | 64,175     |      | 255,739    |
|                      | 1,724,782  |      | 3,153,296  |      | 5,385,365  |      | 3,772,776  |      | 3,554,801  |      | 2,714,403  |
|                      | -          |      | -          |      | -          |      | -          |      | -          |      | 760,000    |
|                      | -          |      | -          |      | -          |      | -          |      | -          |      | 21,773     |
|                      | 2,205,295  |      | 2,178,281  |      | 1,949,818  |      | 1,851,969  |      | 1,765,207  |      | 1,651,446  |
| \$                   | 53,527,744 | \$   | 53,992,631 | \$   | 56,479,399 | \$   | 52,086,227 | \$   | 48,555,570 | \$   | 46,758,863 |

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# Muscatine Community School District

## Schedule of Expenditures of Federal Awards Year Ended June 30, 2015

| Federal Grantor/Pass-Through Grantor/Program Title           | CFDA<br>Number | Grant<br>Number | Federal<br>Expenditures |
|--------------------------------------------------------------|----------------|-----------------|-------------------------|
| Indirect:                                                    |                |                 |                         |
| U.S. Department of Agriculture:                              |                |                 |                         |
| Iowa Department of Education:                                |                |                 |                         |
| Child Nutrition Cluster Programs:                            |                |                 |                         |
| School Breakfast Program                                     | 10.553         | FY15 4552       | \$ 311,683              |
| National School Lunch Program                                | 10.555         | FY15 4553       | 1,241,379               |
| Commodities -Department of Defense (Noncash)                 | 10.555         | FY15            | 60,990                  |
| Commodities (Noncash)                                        | 10.555         | FY15            | 143,614                 |
| Special Milk Program for Children                            | 10.556         | FY15 4555       | 1,106                   |
| Summer Food Service Program for Children                     | 10.559         | FY15 4556       | 35,747                  |
| <b>Total Child Nutrition Cluster Programs</b>                |                |                 | <b>1,794,519</b>        |
| Fresh Fruit and Vegetable Program                            | 10.582         | FY15 4557       | 40,229                  |
| <b>Total U.S. Department of Agriculture</b>                  |                |                 | <b>1,834,748</b>        |
| U.S. Department of Education:                                |                |                 |                         |
| Iowa Department of Education:                                |                |                 |                         |
| Title I Grants to Local Educational Agencies                 | 84.010         | FY15 4501 4508  | 986,696                 |
| Special Education-Grants to States, IDEA Part B              | 84.027         | FY15 4525       | 58,325                  |
| Vocational Education-Basic Grants to States                  | 84.048         | FY15 4647       | 49,445                  |
| Advanced Placement Program                                   | 84.330         | FY15 4654       | 2,714                   |
| Title IIA Federal Teacher Quality Program                    | 84.367         | FY15 4643       | 209,938                 |
| Grants for State Assessments and Related Activities Title VI | 84.369         | FY15 4648       | 26,040                  |
| Mississippi Bend Area Education Agency:                      |                |                 |                         |
| Special Education - Grants to States, IDEA Part B            | 84.027         | FY15 4521       | 267,211                 |
| Title III English Language Acquisition State Grants          | 84.365         | FY15 4644       | 61,733                  |
| <b>Total U.S. Department of Education</b>                    |                |                 | <b>1,662,102</b>        |
| <b>Total expenditures of federal awards</b>                  |                |                 | <b>\$ 3,496,850</b>     |

See notes to schedule of expenditures of federal awards.

## **Muscatine Community School District**

### **Notes to the Schedule of Expenditures of Federal Awards Year Ended June 30, 2015**

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#### **Note 1. Basis of Presentation**

The accompanying schedule of expenditures of federal awards (the "schedule") includes the federal grant activity of Muscatine Community School District under programs of the federal government for the year ended June 30, 2015. The information in this schedule is presented in accordance with the requirements of the Office of Management and Budget (OMB) Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Because the schedule presents only a selected portion of the operations of Muscatine Community School District, it is not intended to and does not present the financial position, changes in net position or cash flows of Muscatine Community School District.

#### **Note 2. Summary of Significant Accounting Policies**

Expenditures reported on the schedule are reported on the modified accrual or accrual basis of accounting. Such expenditures are recognized following the cost principles contained in OMB Circular A-87, *Cost Principles for State and Local Governments*, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.



**Muscatine Community School District**

**Summary Schedule of Prior Audit Findings  
Year Ended June 30, 2015**

| Findings                                              |                                                                                                                             | Status        | Corrective Action Plan<br>or Other Explanation |
|-------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|---------------|------------------------------------------------|
| <b>Other Findings Related to Statutory Reporting:</b> |                                                                                                                             |               |                                                |
| IV-A-14                                               | Expenditures exceeded the certified budget amounts in the support services and non-instructional programs functional areas. | Not corrected | See IV-A-15                                    |
| IV-B-14                                               | The District purchased gift cards to be used as incentives which does not meet public purpose.                              | Corrected     |                                                |
| IV-G-14                                               | Variances in certified enrollment for October 2013 were noted                                                               | Not corrected | See IV-G-15                                    |
| IV-I-14                                               | The District owns stock in Sun Life Financial of Canada which is not an allowable investment.                               | Not corrected | See IV-I-15                                    |
| IV-K-14                                               | The District has several state allocation and categorical funding carryover balances.                                       | Corrected     |                                                |
| IV-M-14                                               | Purchases in the Student Activity Fund for instructional supplies may not meet the purpose of the fund.                     | Corrected     |                                                |

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**Independent Auditor's Report on Internal Control Over  
Financial Reporting and on Compliance and Other Matters  
Based on an Audit of Financial Statements Performed in  
Accordance With *Government Auditing Standards***

To the Board of Education  
Muscatine Community School District  
Muscatine, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund and the aggregate remaining fund information of Muscatine Community School District (the District) as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated January 14, 2016. Our report included an emphasis of matter paragraph for the implementation of Governmental Accounting Standard Board Statement No. 68.

**Internal Control Over Financial Reporting**

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Muscatine Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We did identify a certain deficiency in internal control, described in the accompanying Schedule of Findings and Questioned Costs as item 2015-001 that we consider to be a significant deficiency.

## **Compliance and Other Matters**

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2015 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

## **District's Response to the Findings**

The District's response to the findings identified in our audit are described in the accompanying Schedule of Findings and Questioned Costs. The District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

## **Purpose of this Report**

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

The signature is written in a cursive, handwritten style. It reads "Bohnsack & Frommelt LLP". The ampersand is stylized. The letters are dark and the ink appears to be on a light background.

Taylor Ridge, Illinois  
January 14, 2016



**Independent Auditor's Report on Compliance For Each  
Major Federal Program and Report on Internal Control  
Over Compliance in Accordance with OMB Circular A-133**

To the Board of Education  
Muscatine Community School District  
Muscatine, Iowa

**Report on Compliance for Each Major Federal Program**

We have audited Muscatine Community School District's (the District) compliance with the types of compliance requirements described in the OMB Circular A-133, *Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2015. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

***Management's Responsibility***

Management is responsible for compliance with the requirements of laws, regulations, contracts and grants applicable to its federal programs.

***Auditor's Responsibility***

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America, the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States and OMB Circular A-133, *Audits of States, Local Governments and Nonprofit Organizations*. Those standards and OMB Circular A-133 require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination on the District's compliance.

***Opinion on Each Major Federal Program***

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2015.

## Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with OMB Circular A-133, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented or detected and corrected on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of OMB Circular A-133. Accordingly, this report is not suitable for any other purpose.

*Bohnsack & Frommelt LLP*

Taylor Ridge, Illinois  
January 14, 2016

## Muscatine Community School District

### Schedule of Findings and Questioned Costs Year Ended June 30, 2015

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#### Part I: Summary of the Independent Auditor's Results

- a) Unmodified opinions were issued on the financial statements.
- b) A significant deficiency in internal control over financial reporting was disclosed by the audit of the financial statements.
- c) The audit did not disclose any noncompliance which is material to the financial statements.
- d) No material weaknesses or significant deficiencies over internal control over major programs were disclosed by the audit of each major program.
- e) Type of auditor's reports issued on compliance for each major program: Unmodified
- f) The audit did not disclose audit findings which were required to be reported in accordance with Office of Management and Budget Circular A-133, Section .510(a).
- g) Major programs were as follows:
  - CFDA 84.027                      Special Education-Grants to States, IDEA Part B
  - Child Nutrition Program Cluster:
  - CFDA 10.553                      School Breakfast Program
  - CFDA 10.555                      National School Lunch Program
  - CFDA 10.556                      Special Milk Program For Children
  - CFDA 10.559                      Summer Food Service Program for Children
- h) The dollar threshold used to distinguish between Type A and Type B programs was \$300,000.
- i) Muscatine Community School District qualified as a low-risk auditee.

(Continued)

## Muscatine Community School District

### Schedule of Findings and Questioned Costs Year Ended June 30, 2015

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#### Part II: Findings Related to the Basic Financial Statements

##### Instances of noncompliance:

No matters were reported.

##### Internal control deficiencies:

###### **2015-001**

Finding: The District has insufficient segregation of duties over the cash disbursement function.

Condition: The significant deficiency is the result of a combination of the following:

- Access to the master vendor file is not limited. One position has access to set up new vendors in the system or to edit vendor information as well as access to enter invoices, post to the general ledger system, void transactions and reconciles the bank statements. In addition, several other employees have access to the master vendor file.
- A consistent invoice approval process is not applied District-wide. In a sample of twenty-five transactions, two procurement card logs were not signed by the employee's administrator and nine invoices did not have documentation such as a signature or initials of the supervisor indicating approval for payment.

Context: A good internal control contemplates an adequate segregation of duties so that no one individual handles a transaction from inception to completion.

Effect: Misappropriations of assets could occur and not be detected in a timely basis.

Cause: Access levels are not sufficiently limited and the practices of approving invoices vary by building and department.

Recommendation: We recommend the District remove access to the vendor master file from all employees involved in the cash disbursement process and remove cash disbursement review and processes from employees with general ledger access. In addition, we recommend the District require approvals on all invoices and implement a consistent expectation of the documentation of the approval.

Response and Corrective Action Plan: The District is currently realigning job duties to have one person enter vendors and limit system access for other employees who process disbursements or post journal entries in the general ledger.



## **Muscatine Community School District**

### **Schedule of Findings and Questioned Costs Year Ended June 30, 2015**

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#### **Part III: Findings and Questioned Costs for Federal Awards**

##### Instances of noncompliance:

No matters were reported.

##### Internal control deficiencies:

No matters were reported.

#### **Part IV: Other Findings Related to Statutory Reporting**

##### **IV-A-15**

Certified Budget –

Finding: Expenditures for the year ended June 30, 2015, exceeded the amounts budgeted for the support services and other expenditures functions at year-end.

Recommendation: We recommend amending the certified budget prior to expenditures exceeding budgeted amounts.

Response and Corrective Action Plan: The timing of expenditures, which caused the functional areas to be exceeded, precluded the District from amending the budget on a timely basis. The District will amend if necessary in the future.

Conclusion: Response accepted.

##### **IV-B-15**

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

##### **IV-C-15**

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

##### **IV-D-15**

Business Transactions – Business transactions between the District and District officials or employees were as follows:

(Continued)

## Muscatine Community School District

### Schedule of Findings and Questioned Costs Year Ended June 30, 2015

| Name            | Position                       | Vendor                                                | Relationship                                                           | Amount                 |
|-----------------|--------------------------------|-------------------------------------------------------|------------------------------------------------------------------------|------------------------|
| Ryan Reifert    | Coach                          | Sprouse Distributing                                  | Owners are family members<br>Father manager<br>Self - employee         | \$5,851.06             |
| Rachel Reifert  | Teacher                        | Sprouse Distributing                                  | Owners are family members<br>Father-in-law manager<br>Spouse- employee | \$5,851.06             |
| Susan Krieger   | Teacher                        | Krieger Motors Co. (429)<br>Enterprise Rentals (9229) | Spouse owner                                                           | \$4,219.18<br>\$817.52 |
| Stacie Olsen    | Teacher                        | Muscatine Community Y                                 | Spouse director                                                        | \$94,631.45            |
| Rich Hines      | Technology                     | Muscatine Power & Water                               | Father management                                                      | \$808,781.96           |
| Lynn Hines      | Teacher                        | Muscatine Power & Water                               | Father-in-law management                                               | \$808,781.96           |
| Mary Spratt     | Teacher                        | Muscatine Power & Water                               | Spouse employee                                                        | \$808,781.96           |
| May Lucas       | Bus Driver                     | Lucas Communication                                   | Son owner                                                              | \$195.00               |
| Jeff Cochran    | Substitute<br>Bus Driver       | Bosch Pest Control                                    | Self ownership                                                         | \$8,520.00             |
| Renee Hyink     | Aide                           | Bryant Roofing                                        | Brother owner                                                          | \$6,432.00             |
| Gina Schliesman | Teacher                        | Hy-Vee                                                | Spouse<br>Management                                                   | \$6,534.38             |
| Jessica Feers   | Teacher                        | Freers and Sons Tree Service                          | Spouse owner                                                           | \$7,900.00             |
| Mary Kisner     | Teacher                        | Avenue Subs                                           | Owner                                                                  | \$293.94               |
| John Lawrence   | Administration                 | Muscatine Travel                                      | Spouse owner                                                           | \$3,432.00             |
| Gina Chesling   | Home School<br>Coordinator     | Boxshottz / David Chesling<br>Photography             | Spouse owner                                                           | \$750.00               |
| Randall Naber   | School Board<br>Vice President | Substitute Teacher                                    | Self                                                                   | \$1,972.16             |

#### IV-E-15

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

#### IV-F-15

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

(Continued)

## **Muscatine Community School District**

### **Schedule of Findings and Questioned Costs Year Ended June 30, 2015**

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#### **IV-G-15**

Certified Enrollment-

Finding: There were variances to the October 2014 certified enrollment.

Recommendation: We recommend the District review and verify enrollment before the October 1<sup>st</sup> process.

Response and Corrective Action Plan: The District will review enrollment figures prior to submission to ensure accuracy of the information certified to the Department of Education.

Conclusion: Response accepted.

#### **IV-H-15**

Supplementary Weighting – No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

#### **IV-I-15**

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted other than the following:

Finding: The District owns stock in Sun Life Financial of Canada. This does not appear to be an allowable investment under the provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy.

Recommendation: We recommend the District continue with its efforts to comply with allowable investments.

Response and Corrective Action Plan: Immediately upon being made aware of the stock, the District has been attempting to sell the investment. The District will continue its efforts to sell the investment.

#### **IV-J-15**

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

#### **IV-K-15**

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

(Continued)

## Muscatine Community School District

### Schedule of Findings and Questioned Costs Year Ended June 30, 2015

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#### IV-L-15

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2015, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

|                                          |    |                |
|------------------------------------------|----|----------------|
| Beginning balance                        | \$ | 5,159,860      |
| Revenue / transfers in:                  |    |                |
| Statewide sales and services tax revenue |    | 5,067,154      |
| Interest and other                       |    | 6,918          |
| Expenditures/transfers out:              |    |                |
| School infrastructure:                   |    |                |
| Buildings                                |    | 9,448,145      |
| Ending balance                           | \$ | <u>785,787</u> |

For the year ended June 30, 2015, the District reduced the tax levy as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa as follows:

|                   | Per \$1,000<br>of Taxable<br>Valuation | Property Tax<br>Dollars |
|-------------------|----------------------------------------|-------------------------|
| Debt service levy | \$ 3.81000                             | \$ 4,540,148            |
| Voter PPEL        | \$ 0.44000                             | \$ 524,322              |

## Muscatine Community School District

### Corrective Action Plan

Year Ended June 30, 2015

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| Current<br>Number | Comment | Corrective Action Plan | Anticipated<br>Date of<br>Completion | Contact Person |
|-------------------|---------|------------------------|--------------------------------------|----------------|
|-------------------|---------|------------------------|--------------------------------------|----------------|

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#### Significant Deficiencies Over Financial Reporting:

|          |                                                                                          |                                                      |                     |             |
|----------|------------------------------------------------------------------------------------------|------------------------------------------------------|---------------------|-------------|
| 2015-001 | The District has insufficient segregation of duties over the cash disbursement function. | See response and corrective action plan at 2015-001. | Fiscal Year<br>2016 | Jean Garner |
|----------|------------------------------------------------------------------------------------------|------------------------------------------------------|---------------------|-------------|

#### Other Findings Related to Required Statutory Reporting:

|         |                                                                                                       |                                                     |                     |             |
|---------|-------------------------------------------------------------------------------------------------------|-----------------------------------------------------|---------------------|-------------|
| IV-A-15 | The District exceeded budgeted expenditures in the support services and other expenditures functions. | See response and corrective action plan at IV-A-15. | Fiscal Year<br>2016 | Jean Garner |
| IV-G-15 | Variances in certified enrollment for October 2014 were noted.                                        | See response and corrective action plan at IV-G-15  | Fiscal Year<br>2016 | Jean Garner |
| IV-I-15 | The District has investment that is not allowable.                                                    | See response and corrective action plan at IV-I-15  | Fiscal Year<br>2016 | Jean Garner |



To the Board of Education  
Muscatine Community School District  
Muscatine, Iowa

In connection with our audit of the financial statements of the Muscatine Community School District as of and for the year ended June 30, 2015, we identified deficiencies in internal control over financial reporting (control deficiencies).

A control deficiency exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A deficiency in design exists when a control necessary to meet the control objective is missing, or when an existing control is not properly designed so that even if the control operates as designed, the control objective would not be met. A deficiency in operation exists when a properly designed control does not operate as designed or when the person performing the control does not possess the necessary authority or qualifications to perform the control effectively.

A material weakness is a deficiency or a combination of deficiencies in internal control, such that there is a reasonable possibility that a material misstatement of the financial statements will not be prevented, or detected and corrected on a timely basis.

A significant deficiency is a deficiency, or combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Following is a description of identified control deficiencies that we determined did not constitute significant deficiencies or material weaknesses:

#### Federal Programs

- 1) The District received funding from the state for "High Cost Special Education" late in the fiscal year. This program is at the discretion and reimbursement of the state. The program partially funds salaries. Federal regulations require signed certifications when an employee is funded by a federal program. If the District anticipates receiving this program funding again in future years, we suggest the District consider having all employees that participate in the program sign certifications.

#### Payroll

- 2) Although generally the Human Resource department sets up new employees in the payroll system, the payroll specialists have access to set up a new employee. We recommend that the payroll specialists' access be modified so that they do not have rights within the system to add a new employee.

- 3) At the beginning of the contract year, for every new employee a contract screen is applied to the new employee by the payroll specialists. The contract screen initiates pay cycle, budget code, pay rate and contract year. For returning employees, the system rolls forward their contract screen and the payroll specialist updates the contract. Once all the contracts are updated and new contracts are applied, the payroll specialist runs a trial and checks to make sure it agrees to the contracts. We recommend that the information is cross checked by someone other than the payroll specialist that entered the information. We recommend the Human Resources department review the trial to look for errors, pay rates outside the norm, completeness and unauthorized employees.
- 4) For hourly employees who do not elect the 24 pay option, the payroll department enters hours for each payroll. Hours are entered and a trial is run. The trial is checked against the time cards to ensure accuracy. We would recommend that the trials be cross checked by the payroll specialist that did not enter the time initially in the system.

#### Receipts

- 5) Receipts collected at the Administration Center are received by an employee that also has posting access to the financial system. This would include open enrollment revenues from other school districts. To improve internal controls, we recommend requiring the Administration Center receipts to be collected and prepared for deposit by an employee independent of the billing and posting process. A copy of the deposit slip and the remittances could be provided to the employee that posts to the financial system for proper recording. In addition, a report from the financial system of all open enrollment receipts should be provided to the employee that performs the billing to compare amounts billed to amounts collected and follow up on any discrepancies.

#### Purchasing Cards

- 6) The Superintendent's purchasing card statements are included in the bills listing review process by the board members. The Finance Office is properly matching receipts to the statements and reviewing for propriety. However, due to the inherent limitation in controls when direct reports are reviewing a supervisors transactions. We recommend the board members specifically sign the Superintendent's purchasing card statements to specifically and formally document their review of the Superintendent's purchasing card.
- 7) Purchasing card transactions are part of the Accountant's review process and the review by Board Members. We suggest the Accountant sign the purchasing card summary of each statement to formally document the review and approval.

This communication is intended solely for the information and use of management, the Board of Education, federal awarding agencies and pass-through entities and is not intended to be and should not be used by anyone other than those specified parties.

*Bohnsack & Frommelt LLP*

Taylor Ridge, Illinois  
January 14, 2016



January 14, 2016

To the Board of Education  
Muscatine Community School District  
Muscatine, Iowa

We have audited the financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of Muscatine Community School District for the year ended June 30, 2015. Professional standards require that we provide you with information about our responsibilities under generally accepted auditing standards and *Government Auditing Standards* and OMB Circular A-133, as well as certain information related to the planned scope and timing of our audit. We have communicated such information in our engagement letter to you dated June 10, 2015. Professional standards also require that we communicate to you the following information related to our audit.

#### Significant Audit Findings

##### *Qualitative Aspects of Accounting Practices*

Management is responsible for the selection and use of appropriate accounting policies. The significant accounting policies used by Muscatine Community School District are described in Note 1 to the financial statements. As described in Note 14 to the financial statements, the District changed accounting policies related to the pension retirement system by adopting Statement of Governmental Accounting Standards (GASB Statement) No. 68, *Accounting and Financial Reporting for Pensions*, and No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date-An Amendment of GASB Statement No. 68*, during the year ended June 30, 2015. Accordingly, the cumulative effect of the accounting change as of the beginning of the year is reported as a restatement to the governmental activities, business-type activities and aggregate remaining fund information net position.

We noted no transactions entered into by the governmental unit during the year for which there is lack of authoritative guidance or consensus. All significant transactions have been recognized in the financial statements in the proper period.

Accounting estimates are an integral part of the financial statements prepared by management and are based on management's knowledge and experience about past and current events and assumptions about future events. Certain accounting estimates are particularly sensitive because of their significance to the financial statements and because of the possibility that future events affecting them may differ significantly from those expected. The most sensitive estimates affecting the District's financial statements were:

Other Postemployment Benefit Liability: Management's estimate of the other postemployment benefit liability is based on an actuarial valuation computed based on employee-related factors such as turnover, retirement age, and mortality. These factors and an estimated discount rate and rate of return are based upon historical and general market data.

Depreciable Useful Lives of Capital Assets: Management's estimate of the useful lives of capital assets involves judgments and assumptions based on prior experience of estimated useful lives assigned.



Net Pension Liability and Related Deferred Inflows of Resources and Deferred Outflows of Resources for the Pension Liability: Management's estimate of the net pension liability is based on the its proportionate share of the total net pension liability of the Iowa Public Employees Retirement system cost-sharing multiple-employer defined benefit pension plan administered by the state of Iowa. The liability is based on an actuarial valuation computed based on employee-related factors such as turnover, retirement age, and mortality. These factors and an estimated discount rate are based on historical and general market data.

We evaluated the key factors and assumptions used to develop the above estimates in determining that the estimates are reasonable in relation to the financial statements taken as a whole.

Certain financial statement disclosures are particularly sensitive because of their significance to financial statement users. The most sensitive disclosures affecting the financial statements were:

The disclosure of commitments and contingencies in Note 11 to the financial statements refers to commitments made by the District that will have future financial impact.

The financial statement disclosures are neutral, consistent, and clear.

#### *Difficulties Encountered in Performing the Audit*

We encountered no significant difficulties in dealing with management in performing and completing our audit.

#### *Corrected and Uncorrected Misstatements*

Professional standards require us to accumulate all known and likely misstatements identified during the audit, other than those that are clearly trivial, and communicate them to the appropriate level of management. Management has corrected all such misstatements. The proposed adjusting journal entries corrected by management are included as an attachment.

#### *Disagreements with Management*

For purposes of this letter, a disagreement with management is a financial accounting, reporting, or auditing matter, whether or not resolved to our satisfaction, that could be significant to the financial statements or the auditor's report. We are pleased to report that no such disagreements arose during the course of our audit.

#### *Management Representations*

We have requested certain representations from management that are included in the management representation letter dated January 14, 2016 which is attached.

#### *Management Consultations with Other Independent Accountants*

In some cases, management may decide to consult with other accountants about auditing and accounting matters, similar to obtaining a "second opinion" on certain situations. If a consultation involves application of an accounting principle to the governmental unit's financial statements or a determination of the type of auditor's opinion that may be expressed on those statements, our professional standards require the consulting accountant to check with us to determine that the consultant has all the relevant facts. To our knowledge, there were no such consultations with other accountants.

### *Other Audit Findings or Issues*

We generally discuss a variety of matters, including the application of accounting principles and auditing standards, with management each year prior to retention as the governmental unit's auditors. However, these discussions occurred in the normal course of our professional relationship and our responses were not a condition to our retention.

We have also issued a report on "Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With *Government Auditing Standards*" and a report on "Independent Auditor's Report on Compliance For Each Major Federal Program and On Internal Control Over Compliance in Accordance with OMB Circular A-133". Our findings are included in the District's Financial Report.

### Other Matters

We applied certain limited procedures to management's discussion and analysis, schedule of funding progress, schedule of the District's net proportionate share of the pension liability, schedule of contributions to the pension retirement system and budgetary comparison schedules, which are required supplementary information (RSI) that supplements the basic financial statements. Our procedures consisted of inquiries of management regarding the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We did not audit the RSI and do not express an opinion or provide any assurance on the RSI.

We were engaged to report on combining and individual nonmajor fund financial statements and schedule of expenditures of federal awards, which accompany the financial statements but are not RSI. With respect to this supplementary information, we made certain inquiries of management and evaluated the form, content, and methods of preparing the information to determine that the information complies with accounting principles generally accepted in the United States of America, the method of preparing it has not changed from the prior period, and the information is appropriate and complete in relation to our audit of the financial statements. We compared and reconciled the supplementary information to the underlying accounting records used to prepare the financial statements or to the financial statements themselves.

### Restriction on Use

This information is intended solely for the use of the Board of Education and management of Muscatine Community School District and is not intended to be, and should not be, used by anyone other than these specified parties.

Very truly yours,

A handwritten signature in black ink that reads "Bohnsack & Frommelt LLP". The script is cursive and fluid.

Taylor Ridge, Illinois





January 14, 2016

Bohnsack & Frommelt LLP  
9911 84<sup>th</sup> Street West  
Taylor Ridge, Illinois 61284

This representation letter is provided in connection with your audits of the financial statements of Muscatine Community School District, which comprise the respective financial position of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information as of June 30, 2015, and the respective changes in financial position and, where applicable, cash flows for the year then ended, and the related notes to the financial statements, for the purpose of expressing opinions as to whether the financial statements are presented fairly, in all material respects, in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP).

Certain representations in this letter are described as being limited to matters that are material. Items are considered material, regardless of size, if they involve an omission or misstatement of accounting information that, in light of surrounding circumstances, makes it probable that the judgment of a reasonable person relying on the information would be changed or influenced by the omission or misstatement. An omission or misstatement that is monetarily small in amount could be considered material as a result of qualitative factors.

We confirm, to the best of our knowledge and belief, as of January 14, 2016, the following representations made to you during your audit.

**Financial Statements**

- 1) We have fulfilled our responsibilities, as set out in the terms of the audit engagement letter dated June 10, 2015 including our responsibility for the preparation and fair presentation of the financial statements in accordance with U.S. GAAP and for preparation of the supplementary information in accordance with the applicable criteria.
- 2) The financial statements referred to above are fairly presented in conformity with U.S. GAAP and include all properly classified funds and other financial information of the primary government required by generally accepted accounting principles to be included in the financial reporting entity. There are no component units.
- 3) We acknowledge our responsibility for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

- 4) We acknowledge our responsibility for the design, implementation, and maintenance of internal control to prevent and detect fraud.
- 5) Significant assumptions we used in making accounting estimates are reasonable.
- 6) Related party relationships and transactions, including revenues, expenditures/expenses, loans, transfers, leasing arrangements, and guarantees, and amounts receivable from or payable to related parties have been appropriately accounted for and disclosed in accordance with the requirements of U.S. GAAP.
- 7) All events subsequent to the date of the financial statements and for which U.S. GAAP requires adjustment or disclosure have been adjusted or disclosed. No events, including instances of noncompliance, have occurred subsequent to the balance sheet date and through the date of this letter that would require adjustment to or disclosure in the aforementioned financial statements or in the schedule of findings and questioned costs.
- 8) The effects of all known actual or possible litigation, claims, and assessments have been accounted for and disclosed in accordance with U.S. GAAP.
- 9) Guarantees, whether written or oral, under which the District is contingently liable, if any, have been properly recorded or disclosed.

**Information Provided**

- 10) We have provided you with:
  - a) Access to all information, of which we are aware, that is relevant to the preparation and fair presentation of the financial statements, such as records, documentation, and other matters and all audit or relevant monitoring reports, if any, received from funding sources.
  - b) Additional information that you have requested from us for the purpose of the audit.
  - c) Unrestricted access to persons within the entity from whom you determined it necessary to obtain audit evidence.
  - d) Minutes of the meetings of the Board of Education or summaries of actions of recent meetings for which minutes have not yet been prepared.
- 11) All material transactions have been recorded in the accounting records and are reflected in the financial statements and the schedule of expenditures of federal awards.
- 12) We have disclosed to you the results of our assessment of the risk that the financial statements may be materially misstated as a result of fraud.
- 13) We have no knowledge of any fraud or suspected fraud that affects the entity and involves:
  - a) Management,
  - b) Employees who have significant roles in internal control, or
  - c) Others where the fraud could have a material effect on the financial statements.
- 14) We have no knowledge of any allegations of fraud or suspected fraud affecting the entity's financial statements communicated by employees, former employees, regulators, or others.
- 15) We have no knowledge of instances of noncompliance or suspected noncompliance with provisions of laws, regulations, contracts, or grant agreements, or abuse, whose effects should be considered when preparing financial statements.
- 16) We have disclosed to you all known actual or possible litigation, claims, and assessments whose effects should be considered when preparing the financial statements.



- 17) We have disclosed to you the identity of the entity's related parties and all the related party relationships and transactions of which we are aware.

**Government—specific**

- 18) We have made available to you all financial records and related data and all audit or relevant monitoring reports, if any, received from funding sources.
- 19) There have been no communications from regulatory agencies concerning noncompliance with, or deficiencies in, financial reporting practices.
- 20) There has been no fraud, violations of laws, regulations, contracts, or grant agreements, or abuse.
- 21) We have a process to track the status of audit findings and recommendations.
- 22) We have identified to you any previous audits, attestation engagements, and other studies related to the audit objectives and whether related recommendations have been implemented.
- 23) We have provided our views on reported findings, conclusions, and recommendations, as well as our planned corrective actions, for the report.
- 24) The District has no plans or intentions that may materially affect the carrying value or classification of assets, liabilities, or equity.
- 25) We are responsible for compliance with the laws, regulations, and provisions of contracts and grant agreements applicable to us, including tax or debt limits and debt contracts; and legal and contractual provisions for reporting specific activities in separate funds.
- 26) There are no instances which have occurred or are likely to have occurred of fraud or noncompliance with provisions of laws, regulations and provisions that we believe have a material effect on the financial statements or other financial data significant to the audit objectives, and there are no instances that warrant the attention of those charged with governance.
- 27) There are no instances which have occurred or are likely to have occurred of abuse that could be quantitatively or qualitatively material to the financial statements or other financial data significant to the audit objectives.
- 28) There are no violations or possible violations of budget ordinances, laws and regulations (including those pertaining to adopting, approving, and amending budgets), provisions of contracts and grant agreements, tax or debt limits, and any related debt covenants whose effects should be considered for disclosure in the financial statements, or as a basis for recording a loss contingency, or for reporting on noncompliance.
- 29) As part of your audit, you assisted with the preparation of the financial statements and related notes and schedule of expenditure of federal awards and proposed adjusting journal entries. We acknowledge our responsibility as it relates to those nonaudit services, including that we assume all management responsibilities; oversee the services by designating an individual, preferably within senior management, who possesses suitable skill, knowledge, or experience; evaluate the adequacy and results of the services performed; and accept responsibility for the results of the services. We have reviewed and approved and accepted responsibility for those financial statements and related notes and schedule of expenditure of federal awards.
- 30) We acknowledge that we have reviewed and approved proposed adjusting journal entries and approve those entries and accept responsibility for them. The proposed entries are attached.
- 31) The District has satisfactory title to all owned assets, and there are no liens or encumbrances on such assets nor has any asset been pledged as collateral.
- 32) The District has complied with all aspects of contractual agreements that would have a material effect on the financial statements in the event of noncompliance.

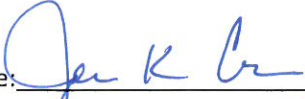
- 33) The financial statements include all component units.
- 34) There are no joint ventures with an equity interest.
- 35) The financial statements properly classify all funds and activities in accordance with GASB Statement No.34.
- 36) All funds that meet the quantitative criteria in GASBS Nos. 34 and 37 for presentation as major are identified and presented as such and all other funds that are presented as major are particularly important to financial statement users.
- 37) Components of net position (net investment in capital assets; restricted; and unrestricted) and components of fund balance (nonspendable and restricted, committed, assigned, and unassigned) are properly classified and, if applicable, approved.
- 38) Investments, derivative instruments, and land and other real estate held by endowments are properly valued.
- 39) Provisions for uncollectible receivables have been properly identified and recorded.
- 40) Expenses have been appropriately classified in or allocated to functions and programs in the statement of activities, and allocations have been made on a reasonable basis.
- 41) Revenues are appropriately classified in the statement of activities within program revenues and general revenues.
- 42) Interfund, internal, and intra-entity activity and balances have been appropriately classified and reported.
- 43) Deposits and investment securities and derivative instruments are properly classified as to risk and are properly disclosed.
- 44) Capital assets, including infrastructure and intangible assets, are properly capitalized, reported, and, if applicable, depreciated.
- 45) We have appropriately disclosed the District's policy regarding whether to first apply restricted or unrestricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available and have determined that net position is properly recognized under the policy.
- 46) We are following our established accounting policy regarding which resources (that is, restricted, committed, assigned, or unassigned) are considered to be spent first for expenditures for which more than one resource classification is available. That policy determines the fund balance classifications for financial reporting purposes.
- 47) We have not completed the process of evaluating the impact that will result from adopting Governmental Accounting Standards Board (GASB) Statements No. 72, 73, 74, 75, and 76 as discussed in the notes to the financial statements. The District is therefore unable to disclose the impact that adopting the new standard will have on its financial position and the results of its operations when adopted.
- 48) We believe that the newly adopted GASB Statement No. 68, 69, and 71 are properly implemented and adopted including the restatement to the governmental activities, business-type activities, and aggregate remaining fund information for the net pension liability and related deferred outflows of resources and deferred inflows of resources.
- 49) We agree with the findings of specialists in evaluating the other post-employment benefit estimates and net pension obligations and related deferred inflows and deferred outflows of resources and have adequately considered the qualifications of the specialist in determining the amounts and disclosures used in the financial statements and underlying accounting records. We did not give or cause any instructions to be given to specialists with respect to the values or amounts derived in an attempt to bias their work, and we are not otherwise aware of any matters that have had an impact on independence or objectivity of the specialists.

- 50) We believe that the actuarial assumptions and methods used to measure pension and OPEB liabilities and costs for financial accounting purposes are appropriate in the circumstances.
- 51) We are unable to determine the possibility of a withdrawal liability in a multiple-employer benefit plan.
- 52) We acknowledge our responsibility for the required supplementary information (RSI). The RSI is measured and presented within prescribed guidelines and the methods of measurement and presentation have not changed from those used in the prior period. We have disclosed to you any significant assumptions and interpretations underlying the measurement and presentation of the RSI.
- 53) With respect to the combining and individual nonmajor fund financial statements and schedule of expenditures of federal awards :
- a) We acknowledge our responsibility for presenting the combining and individual nonmajor fund financial statements and schedule of expenditures of federal awards in accordance with accounting principles generally accepted in the United States of America, and we believe the supplementary information, including its form and content, is fairly presented in accordance with accounting principles generally accepted in the United States of America. The methods of measurement and presentation of the combining and individual nonmajor fund financial statements and schedule of expenditures of federal awards have not changed from those used in the prior period, and we have disclosed to you any significant assumptions or interpretations underlying the measurement and presentation of the supplementary information.
  - b) If the supplementary information is not presented with the audited financial statements, we will make the audited financial statements readily available to the intended users of the supplementary information no later than the date we issue the supplementary information and the auditor's report thereon.
- 54) With respect to federal award programs:
- a) We are responsible for understanding and complying with and have complied with the requirements of OMB Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*, including requirements relating to preparation of the schedule of expenditures of federal awards.
  - b) We acknowledge our responsibility for presenting the schedule of expenditures of federal awards (SEFA) in accordance with the requirements of OMB Circular A-133 §310.b, and we believe the SEFA, including its form and content, is fairly presented in accordance with OMB Circular A-133 §310.b. The methods of measurement or presentation of the SEFA have not changed from those used in the prior period and we have disclosed to you any significant assumptions and interpretations underlying the measurement or presentation of the SEFA.
  - c) If the SEFA is not presented with the audited financial statements, we will make the audited financial statements readily available to the intended users of the SEFA no later than the date we issue the SEFA and the auditor's report thereon.
  - d) We have identified and disclosed to you all of our government programs and related activities subject to OMB Circular A-133 and included in the SEFA expenditures made during the audit period for all awards provided by federal agencies in the form of grants, federal cost-reimbursement contracts, loans, loan guarantees, property (including donated surplus property), cooperative agreements, interest subsidies, insurance, food commodities, direct appropriations, and other direct assistance.
  - e) We are responsible for understanding and complying with, and have complied with, the requirements of laws, regulations, and the provisions of contracts and grant agreements related to each of our federal programs and have identified and disclosed to you the requirements of laws, regulations, and the provisions of contracts and grant agreements that are considered to have a direct and material effect on each major program.



- f) We are responsible for establishing and maintaining, and have established and maintained, effective internal control over compliance requirements applicable to federal programs that provides reasonable assurance that we are managing our federal awards in compliance with laws, regulations, and the provisions of contracts and grant agreements that could have a material effect on our federal programs. We believe the internal control system is adequate and is functioning as intended.
- g) We have made available to you all contracts and grant agreements (including amendments, if any) and any other correspondence with federal agencies or pass-through entities relevant to federal programs and related activities.
- h) We have received no requests from a federal agency to audit one or more specific programs as a major program.
- i) We have complied with the direct and material compliance requirements (except for noncompliance disclosed to you), including when applicable, those set forth in the *OMB Circular A-133 Compliance Supplement*, relating to federal awards and have identified and disclosed to you all amounts questioned and all known noncompliance with the requirements of federal awards.
- j) We have disclosed any communications from grantors and pass-through entities concerning possible noncompliance with the direct and material compliance requirements, including communications received from the end of the period covered by the compliance audit to the date of the auditor's report.
- k) We have disclosed to you the findings received and related corrective actions taken for previous audits, attestation engagements, and internal or external monitoring that directly relate to the objectives of the compliance audit, including findings received and corrective actions taken from the end of the period covered by the compliance audit to the date of the auditor's report.
- l) Amounts claimed or used for matching were determined in accordance with relevant guidelines in OMB Circular A-87, *Cost Principles for State, Local, and Tribal Governments*, and OMB's *Uniform Administrative Requirements for Grants and Cooperative Agreements to State and Local Governments*.
- m) We have disclosed to you our interpretation of compliance requirements that may have varying interpretations.
- n) We have made available to you all documentation related to compliance with the direct material compliance requirements, including information related to federal program financial reports and claims for advances and reimbursements.
- o) We have disclosed to you the nature of any subsequent events that provide additional evidence about conditions that existed at the end of the reporting period affecting noncompliance during the reporting period.
- p) There are no such known instances of noncompliance with direct and material compliance requirements that occurred subsequent to the period covered by the auditor's report.
- q) No changes have been made in internal control over compliance or other factors that might significantly affect internal control, including any corrective action we have taken regarding significant deficiencies in internal control over compliance (including material weaknesses in internal control over compliance), have occurred subsequent to the date as of which compliance was audited.
- r) Federal program financial reports and claims for advances and reimbursements are supported by the books and records from which the financial statements have been prepared.
- s) The copies of federal program financial reports provided you are true copies of the reports submitted, or electronically transmitted, to the respective federal agency or pass-through entity, as applicable.
- t) There are no subrecipients.
- u) We have charged costs to federal awards in accordance with applicable cost principles.

- v) We are responsible for and have accurately prepared the summary schedule of prior audit findings to include all findings required to be included by OMB Circular A-133 and we have provided you with all information on the status of the follow-up on prior audit findings by federal awarding agencies and pass-through entities, including all management decisions.
- w) We are responsible for and have accurately prepared the auditee section of the Data Collection Form as required by OMB Circular A-133.
- x) We are responsible for preparing and implementing a corrective action plan for each audit finding.

Signature: 

Title: Chief Financial Officer  
Director of Finance

Signature: 

Title: Supt

**Muscatine Community School District**  
**Schedule of Proposed Audit Adjustments**  
**Year Ended June 30, 2015**

| Description / Opinion Unit                                                    | Account Number                           | Debit         | Credit        |
|-------------------------------------------------------------------------------|------------------------------------------|---------------|---------------|
| <b>Governmental Activities</b>                                                |                                          |               |               |
| Investment in Governmental Assets                                             | 08 9610 0000 000 0000 000                | \$ 218,323.00 |               |
| Construction in Progress                                                      | 08 9271 0000 000 0000 000                |               | \$ 218,323.00 |
| To remove addition from 2015 that was added in 2014                           |                                          |               |               |
| Amount Available for Retirement of Long-term Debt                             | 09 9303 0000 000 0000 000                | 574,198.80    |               |
| Other Long-Term Liabilities                                                   | 09 9590 0000 000 0000 000                |               | 574,198.80    |
| To correct the posting for early retirement                                   |                                          |               |               |
| Other Post Employment Benefit                                                 | 09                                       |               | 947,654.00    |
| Amount provided retirement of long term debt                                  | 09                                       | 947,654.00    |               |
| To record OPEB in Fund 09                                                     |                                          |               |               |
| <b>Capital Projects Fund / Governmental Activities</b>                        |                                          |               |               |
| Receivable for SAVE True UP                                                   | 42-141-0000-000-0000-000 (newly created) | 266,692.00    |               |
| Deferral for SAVE True UP                                                     | 42-623-0000-000-0000-000 (newly created) |               | 266,692.00    |
| To record true up for the SAVE revenue                                        |                                          |               |               |
| <b>Business-type Activities/Aggregate Remaining Fund Information</b>          |                                          |               |               |
| OPEB                                                                          | 61                                       |               | 47,780.00     |
| Fund Balance                                                                  | 61                                       | 31,860.00     |               |
| Health insurance expense                                                      | 61                                       | 15,920.00     |               |
| To account for OPEB in the Nutrition Fund                                     |                                          |               |               |
| <b>Capital Projects Fund / Governmental Activities</b>                        |                                          |               |               |
| Construction in Progress                                                      | 08 9271 0000 000 0000 000                | 52,731.74     |               |
| Investment in govt assets                                                     | 08 9610 0000 000 0000 000                |               | 52,731.74     |
| C.P. Accounts Payable                                                         | 42 9520 0000 000 0000 000                |               | 52,731.74     |
| Capital outlay expense                                                        | 42                                       | 52,731.74     |               |
| To record construction completed for the gym floor                            |                                          |               |               |
| Construction in Progress                                                      | 08 9271 0000 000 0000 000                | 509,934.13    |               |
| Investment in Governmental Assets                                             | 08 9610 0000 000 0000 000                |               | 509,934.13    |
| Jeff Capital Projects                                                         | 42 1045 4200 000 0000 450                | 509,934.13    |               |
| Retainage Payable                                                             | 42 9525 0000 000 0000 000                |               | 509,934.13    |
| To record retainage payable                                                   |                                          |               |               |
| <b>Aggregate Remaining Fund Information</b>                                   |                                          |               |               |
| Trust Rohling Bonds                                                           | 71-9060 0000 000 0000 000                | 16,508.00     |               |
| Interest                                                                      | 71 0000 8019 000 1510 900                |               | 16,508.00     |
| To record interest and MV adjustment on the Bonds                             |                                          |               |               |
| <b>Discretely Presented Component Unit</b>                                    |                                          |               |               |
| Net Position                                                                  |                                          | 16,025.00     |               |
| Scholarships                                                                  |                                          |               | 16,025.00     |
| Scholarships                                                                  |                                          | 24,125.00     |               |
| Accounts Payable                                                              |                                          |               | 24,125.00     |
| To restate net position for prior year accounts payable and post current year |                                          |               |               |